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EQUITY RESEARCH

**COMPANY UPDATE**

April 24, 2026

INDUSTRIAL/CAPITAL GOODS/HOMEBUILDERS

**Stock Rating:**

**OUTPERFORM**

| | |
|---|---|
| 12-18 mo. Price Target | $149.00 |
| PHM - NYSE | $127.56 |
| 3-5 Yr. EPS Gr. Rate | 11% |
| 52-Wk Range | $144.50-$94.93 |
| Shares Outstanding | 193.4M |
| Float | 192.6M |
| Market Capitalization | $24,439.1M |
| Avg. Daily Trading Volume | 1,879,857 |
| Dividend/Div Yield | $0.88/0.69% |
| Book Value | $67.00 |
| Fiscal Year Ends | Dec |
| 2026E ROE | 14.8% |
| LT Debt | $1,821.0M |
| Preferred | $0.0M |
| Common Equity | $12,954M |
| Convertible Available | No |

| EPS Diluted | Q1 | Q2 | Q3 | Q4 | Year | Mult. |
|---|---|---|---|---|---|---|
| 2025A | 2.57 | 3.03 | 2.96 | 2.56 | 11.12 | 11.5x |
| 2026E | 1.79A | 2.52 | 2.88 | 3.14 | 10.34 | 12.3x |
| *Prior (E)* | *1.85* | *2.75* | *2.76* | *2.92* | *10.28* | *12.7x* |
| 2027E | 2.09 | 2.90 | 3.06 | 3.26 | 11.31 | 11.3x |

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# PulteGroup, Inc.

## Model Update; 2026 Guide Reiterated, Execution Remains Strong

**SUMMARY**

Updating our model to reflect 1Q26 earnings and 2026 guidance. We came away incrementally positive on the stock post earnings given demand has remained resilient despite macro volatility. An improved spec inventory position and mix shift towards BTO homes are tailwinds for gross margin in 2H26. We continue to see PHM as a compelling capital return and ROE story with an attractive buyer mix that deserves a premium multiple. Reiterate Outperform and $149 PT.

**KEY POINTS**

- **Model changes:** Our 2026 EPS estimate is close to unchanged with our prior forecast. We continue to expect a gross margin of 24.7% and closings of 28,863 (down 2.4% YoY). Our 2027 EPS estimate is $11.31.
- **Price target:** Our PT of $149 is 14x our NTM EPS estimate and 2.0x P/B. We think PHM deserves a higher than average multiple given its sector-leading ROE and buyer diversity. Our PT is also only 13x the average EPS over the past 5-years.

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## Stock Price Performance

## INVESTMENT THESIS

We have an Outperform rating on PHM. We like PHM's balanced buyer mix, which we think allows the company to capture strength in different segments and offers attractive returns and risk mitigation. We also think PHM should get credit for having the highest ROE in the space, the best leverage profile in company history, and active share repurchases.

## BASE CASE ASSUMPTION

- Orders up 4% YoY in 2026
- Closings down 2% in 2026
- Revenue down 4% in 2026
- EPS down 7% in 2026

## CATALYSTS

- Lower mortgage rates
- Improvements to material costs and supply chain
- 2026 guidance better than Street expectations

## UPSIDE SCENARIO

- Lower mortgage rates reinvigorate demand for homes and allow the company to grow price and volume
- Improvements to cycle times enhances returns
- Lower material and labor costs contribute to gross margin upside

## DOWNSIDE SCENARIO

- Higher mortgage rates negatively impact affordability for home buyers
- Declining profitability could result in land impairments

## PRICE TARGET CALCULATION

Our PT of $149 is 14x our NTM EPS estimate and 2.0x P/B. We think PHM deserves a higher than average multiple given its sector-leading ROE and buyer diversity. Our PT is also only 13x the average EPS over the past 5-years.

## KEY RISKS TO PRICE TARGET

Perceivable risks include: (1) Higher mortgage rates could negatively impact housing demand. (2) Weaker economic environment could also negatively impact demand. (3) Material and labor costs could increase, contributing to weaker margins. (4) Land purchased at high prices might also weigh on margin performance. (5) Extended cycle times could result in slower inventory turnover rates and could pressure returns. (6) A significant leg lower in industry fundamentals could result in land impairments. (7) Negative sentiment toward homebuilders broadly could affect PHM.

## COMPANY DESCRIPTION

PHM is one of the largest homebuilders in the US. It has operations in 24 states and over 40 major markets.



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| | 2024 | 1Q25 | 2Q25 | 3Q25 | 4Q25 | 2025 | 1Q26 | 2Q26E | 3Q26E | 4Q26E | 2026E | 1Q27E | 2Q27E | 3Q27E | 4Q27E | 2027E |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Homebuilding revenues | | | | | | | | | | | | | | | | |
| Home sales | 17,318.5 | 3,749.3 | 4,268.0 | 4,248.4 | 4,477.9 | 16,743.5 | 3,307.5 | 3,891.9 | 4,288.0 | 4,525.4 | 16,012.7 | 3,406.5 | 4,008.6 | 4,288.0 | 4,525.4 | 16,228.4 |
| YoY % change | 11.0% | (1.8%) | (4.1%) | (2.2%) | (4.9%) | (3.3%) | (11.8%) | (8.8%) | 0.9% | 1.1% | (4.4%) | 3.0% | 3.0% | 0.0% | 0.0% | 1.3% |
| Land sales and other | 195.4 | 52.6 | 34.6 | 53.2 | 39.1 | 179.5 | 29.3 | 34.6 | 53.2 | 39.1 | 156.3 | 29.3 | 34.6 | 53.2 | 39.1 | 156.3 |
| Financial services | 433.0 | 90.8 | 101.2 | 103.3 | 93.4 | 388.7 | 71.7 | 104.1 | 113.8 | 119.4 | 409.0 | 84.9 | 106.2 | 113.8 | 119.4 | 424.3 |
| **Total revenue** | **17,947.0** | **3,892.7** | **4,403.8** | **4,404.8** | **4,610.5** | **17,311.7** | **3,408.6** | **4,030.6** | **4,454.9** | **4,683.9** | **16,578.0** | **3,520.7** | **4,149.4** | **4,454.9** | **4,683.9** | **16,809.0** |
| YoY % change | 11.7% | (1.4%) | (4.3%) | (1.6%) | (6.3%) | (3.5%) | (12.4%) | (8.5%) | 1.1% | 1.6% | (4.2%) | 3.3% | 2.9% | 0.0% | 0.0% | 1.4% |
| Home sales cost of revenue | 12,311.8 | 2,719.1 | 3,115.5 | 3,133.5 | 3,373.3 | 12,341.4 | 2,500.2 | 2,949.6 | 3,219.8 | 3,380.0 | 12,049.6 | 2,544.3 | 2,994.0 | 3,202.7 | 3,380.0 | 12,121.1 |
| **Home sales gross profit** | **5,006.8** | **1,030.2** | **1,152.5** | **1,114.8** | **1,104.6** | **4,402.1** | **807.4** | **942.2** | **1,068.1** | **1,145.4** | **3,963.1** | **862.2** | **1,014.6** | **1,085.3** | **1,145.4** | **4,107.4** |
| YoY % change | 9.6% | (8.9%) | (13.4%) | (11.0%) | (14.6%) | (12.1%) | (21.6%) | (18.2%) | (4.2%) | 3.7% | (10.0%) | 6.8% | 7.7% | 1.6% | 0.0% | 3.6% |
| Home sales gross margin | 28.9% | 27.5% | 27.0% | 26.2% | 24.7% | 26.3% | 24.4% | 24.2% | 24.9% | 25.3% | 24.7% | 25.3% | 25.3% | 25.3% | 25.3% | 25.3% |
| YoY change (bps) | (38) | (212) | (291) | (258) | (281) | (262) | (307) | (279) | (133) | 64 | (154) | 90 | 110 | 40 | 0 | 56 |
| Land sale and other cost of revenue | 189.9 | 51.0 | 30.5 | 48.1 | 36.5 | 166.0 | 27.1 | 31.9 | 48.9 | 36.0 | 143.9 | 27.0 | 31.9 | 48.9 | 36.0 | 143.8 |
| Margin | 2.8% | 3.0% | 11.9% | 9.6% | 6.7% | 7.5% | 7.4% | 8.0% | 8.0% | 8.0% | 7.9% | 8.0% | 8.0% | 8.0% | 8.0% | 8.0% |
| Financial services expense | 224.1 | 55.0 | 59.6 | 58.9 | 58.4 | 231.9 | 59.2 | 59.3 | 64.9 | 68.0 | 251.4 | 48.4 | 60.5 | 64.9 | 68.0 | 241.8 |
| Margin | 48.2% | 39.5% | 41.1% | 43.0% | 37.5% | 40.3% | 17.5% | 43.0% | 43.0% | 43.0% | 38.5% | 43.0% | 43.0% | 43.0% | 43.0% | 43.0% |
| SG&A | 1,321.3 | 393.3 | 390.5 | 400.7 | 389.5 | 1,573.9 | 380.3 | 352.2 | 400.1 | 423.4 | 1,556.0 | 391.7 | 362.7 | 408.7 | 432.5 | 1,595.6 |
| YoY % change | 0.7% | 10.0% | 8.1% | (1.5%) | 99.1% | 19.1% | (3.3%) | (9.8%) | (0.1%) | 8.7% | (1.1%) | 3.0% | 3.0% | 2.1% | 2.1% | 2.5% |
| As % of revenue | 7.6% | 10.5% | 9.1% | 9.4% | 8.7% | 9.4% | 11.5% | 9.0% | 9.3% | 9.4% | 9.7% | 11.5% | 9.0% | 9.5% | 9.6% | 9.8% |
| Goodwill impairment | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Other | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Income before taxes | 0.2 | 0.1 | 0.1 | 0.1 | 0.1 | 0.1 | 0.1 | 0.1 | 0.1 | 0.1 | 0.1 | 0.1 | 0.1 | 0.1 | 0.1 | 0.1 |
| Income tax expense | 922.6 | 158.3 | 198.7 | 182.0 | 153.6 | 692.6 | 102.4 | 156.2 | 176.7 | 190.2 | 625.5 | 124.8 | 171.6 | 178.8 | 188.0 | 663.1 |
| Tax rate | 23.0% | 23.2% | 24.6% | 23.7% | 23.5% | 23.8% | 22.8% | 24.5% | 24.5% | 24.5% | 24.2% | 24.5% | 24.5% | 24.5% | 24.5% | 24.5% |
| **Net Income** | **3,083.3** | **522.8** | **608.5** | **585.8** | **501.3** | **2,218.5** | **347.0** | **481.4** | **544.5** | **586.2** | **1,959.1** | **384.5** | **528.7** | **551.0** | **579.3** | **2,043.6** |
| YoY % change | 18.5% | (21.1%) | (24.8%) | (16.1%) | (45.1%) | (28.0%) | (33.6%) | (20.9%) | (7.1%) | 16.9% | (11.7%) | 10.8% | 9.8% | 1.2% | (1.2%) | 4.3% |
| Margin | 17.2% | 13.4% | 13.8% | 13.3% | 10.9% | 12.8% | 10.2% | 11.9% | 12.2% | 12.5% | 11.8% | 10.9% | 12.7% | 12.4% | 12.4% | 12.2% |
| Diluted EPS | 14.71 | 2.57 | 3.03 | 2.96 | 2.56 | 11.12 | 1.79 | 2.52 | 2.88 | 3.14 | 10.34 | 2.09 | 2.90 | 3.06 | 3.26 | 11.31 |
| Diluted shares | 206.2 | 203.7 | 200.7 | 198.1 | 195.7 | 195.7 | 193.4 | 191.0 | 188.8 | 186.6 | 186.6 | 184.3 | 182.0 | 179.9 | 177.7 | 177.7 |

Source: Company filings, OpCo estimates



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## ESG CONSIDERATIONS *

| | |
|---|---|
| ESG Rating | B- |
| ESG Rating Environment | C+ |
| ESG Rating Social | B |
| ESG Rating Governance | B |

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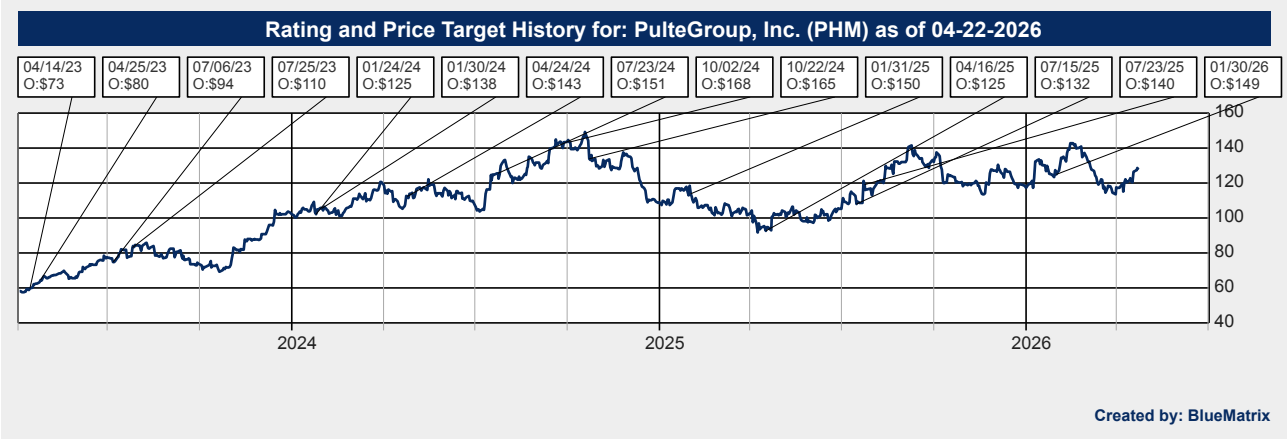


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|---|---|---|---|---|
| Rating | Count | Percent | Count | Percent |
| OUTPERFORM [O] | 449 | 66.62 | 187 | 41.65 |
| PERFORM [P] | 225 | 33.38 | 90 | 40.00 |
| UNDERPERFORM [U] | 0 | 0.00 | 0 | 0.00 |

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# PulteGroup Inc. (PHM)

## 1Q26 Recap: Margins Likely at a Trough as Product and Customer Mix Shift to Drive Gains Over Upcoming Quarters

| PHM | 12m Price Target: **$142.00** | Price: **$130.64** | Upside: **8.7%** |
|---|---|---|---|

**We are Encouraged by Progress on Strategic Efforts to Start 2026:** We are encouraged by Pulte's 1Q results and outlook as strategic initiatives come through, suggesting upside to results over time. More specifically, we highlight: 1) build-to-order accounted for 43% of 1Q orders vs 40% a year ago, 2) efforts to reduce specs are closer to completion at 1.4/community in line with the 1.0-1.5 target, and 3) guide for the 2Q gross margin to be the low point for the year with a sequential recovery led by positive product and customer mix shifts. On the call, management also noted plans to invest in the shift to build-to-order in the second half as it looks to position for 2027. This will pressure near-term FCF conversion, though we believe the company has ample financial flexibility as we model $1.3bn in CFO this year. As BTO moves towards the 60% target, we see upside to our gross margin estimates along with greater visibility. In the meantime, we look for Pulte to balance spend on growth and shareholder returns and model $1.4bn in buybacks this year. Although we are confident in the ability to execute, we believe much of this is reflected in the valuation and maintain our Neutral rating.

**Transition to Build-to-Order Underway as Specs Decline to Targeted Range:** On the call, management noted demand followed a normal seasonal cadence in the quarter while unit cancellations were down. This has continued into April, leaving the company cautiously optimistic on the selling season despite current geopolitical issues. In our view, this reflects Pulte's ability to navigate an increasingly challenging environment. We highlight notable progress on reducing specs to 1.4/community as part of the build-to-order shift. Management has characterized 2026 as a transition year, as it works to align the business to the goal of getting BTO to 60% over time. Although the 1Q move was impressive, we note unsold inventory remains elevated in the West, where higher mortgage rates and ASPs present greater headwinds, though we expect this to be worked down in the coming quarters. As the

**NEUTRAL**

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### Key Data

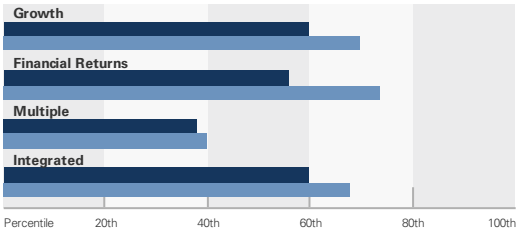
Market cap: $25.3bn
Enterprise value: $25.9bn
3m ADTV: $243.7mn
United States
Americas Homebuilders & Building Products
M&A Rank: 3

### GS Forecast

| | 12/25 | 12/26E | 12/27E | 12/28E |
|---|---|---|---|---|
| **Revenue ($ mn) New** | **17,312.0** | **16,527.8** | **17,446.6** | **18,488.0** |
| Revenue ($ mn) Old | 17,312.0 | 15,976.4 | 16,833.2 | 17,843.4 |
| EBITDA ($ mn) | 3,234.5 | 2,705.7 | 2,960.6 | 3,258.0 |
| EBIT ($ mn) | 3,122.0 | 2,609.4 | 2,861.5 | 3,152.9 |
| **EPS ($) New** | **11.43** | **10.15** | **11.70** | **14.30** |
| EPS ($) Old | 11.43 | 9.75 | 10.95 | 13.15 |
| P/E (X) | 10.0 | 12.9 | 11.2 | 9.1 |
| Dividend yield (%) | 0.8 | 0.8 | 0.9 | 0.9 |
| Net debt/EBITDA (X) | 0.0 | 0.2 | 0.2 | 0.5 |

| | 3/26 | 6/26E | 9/26E | 12/26E |
|---|---|---|---|---|
| EPS ($) | 1.79 | 2.47 | 2.76 | 3.12 |

### GS Factor Profile




PHM relative to Americas Coverage
PHM relative to Americas Homebuilders & Building Products

Source: Company data, Goldman Sachs Research estimates. See disclosures for details.

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NEUTRAL

# PulteGroup Inc. (PHM)

Rating since Jun 30, 2021

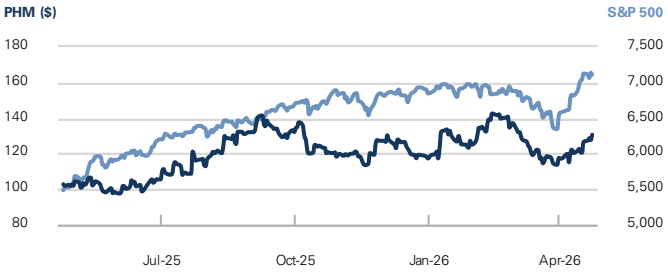
## Ratios & Valuation

| | 12/25 | 12/26E | 12/27E | 12/28E |
|---|---|---|---|---|
| P/E (X) | 10.0 | 12.9 | 11.2 | 9.1 |
| EV/EBITDA (X) | 7.1 | 9.4 | 8.2 | 7.0 |
| EV/sales (X) | 1.3 | 1.5 | 1.4 | 1.2 |
| FCF yield (%) | 7.7 | 4.7 | 5.8 | 7.5 |
| EV/DACF (X) | 8.9 | 12.1 | 10.7 | 9.2 |
| CROCI (%) | 23.9 | 18.3 | 18.3 | 18.8 |
| ROE (%) | 17.7 | 14.6 | 15.3 | 16.5 |
| Net debt/EBITDA (X) | 0.0 | 0.2 | 0.2 | 0.5 |
| Net debt/equity (%) | 1.2 | 4.6 | 4.8 | 11.6 |
| Interest cover (X) | – | – | – | – |
| Inventory days | 376.8 | 399.7 | 404.2 | 408.6 |
| Receivable days | NM | NM | NM | NM |
| Days payable outstanding | 21.4 | 22.0 | 21.4 | 21.1 |

## Growth & Margins (%)

| | 12/25 | 12/26E | 12/27E | 12/28E |
|---|---|---|---|---|
| Total revenue growth | (3.5) | (4.5) | 5.6 | 6.0 |
| EBITDA growth | (21.1) | (16.4) | 9.4 | 10.0 |
| EPS growth | (14.2) | (11.2) | 15.3 | 22.3 |
| DPS growth | 15.0 | 13.0 | 7.7 | 7.1 |
| Gross margin | 28.5 | 26.6 | 26.9 | 28.0 |
| EBIT margin | 18.0 | 15.8 | 16.4 | 17.1 |

## Price Performance




| | 3m | 6m | 12m |
|---|---|---|---|
| Absolute | 4.4% | 8.1% | 29.3% |
| Rel. to the S&P 500 | 1.5% | 2.5% | (2.2)% |

Source: FactSet. Price as of 23 Apr 2026 close.

## Income Statement ($ mn)

| | 12/25 | 12/26E | 12/27E | 12/28E |
|---|---|---|---|---|
| Total revenue | 17,312.0 | 16,527.8 | 17,446.6 | 18,488.0 |
| Cost of goods sold | (12,385.4) | (12,124.9) | (12,745.7) | (13,316.9) |
| SG&A | (1,804.6) | (1,793.5) | (1,839.5) | (2,018.2) |
| R&D | – | – | – | – |
| Other operating inc./(exp.) | – | – | – | – |
| **EBITDA** | **3,234.5** | **2,705.7** | **2,960.6** | **3,258.0** |
| Depreciation & amortization | (112.5) | (96.3) | (99.1) | (105.1) |
| **EBIT** | **3,122.0** | **2,609.4** | **2,861.5** | **3,152.9** |
| Net interest inc./(exp.) | – | – | – | – |
| Income/(loss) from associates | 2.9 | 0.9 | – | – |
| **Pre-tax profit** | **2,911.3** | **2,529.4** | **2,776.9** | **3,066.5** |
| Provision for taxes | (692.6) | (614.1) | (680.3) | (751.3) |
| Minority interest | – | – | – | – |
| Preferred dividends | – | – | – | – |
| **Net inc. (pre-exceptionals)** | **2,218.7** | **1,915.3** | **2,096.6** | **2,315.2** |
| **Net inc. (post-exceptionals)** | **2,280.4** | **1,915.3** | **2,096.6** | **2,315.2** |
| **EPS (basic, pre-except) ($)** | **11.12** | **10.12** | **11.66** | **14.30** |
| **EPS (diluted, pre-except) ($)** | **11.12** | **10.12** | **11.66** | **14.30** |
| **EPS (ex-ESO exp., dil.) ($)** | **--** | **--** | **--** | **--** |
| DPS ($) | 0.92 | 1.04 | 1.12 | 1.20 |
| Div. payout ratio (%) | 8.3 | 10.3 | 9.6 | 8.4 |
| Wtd avg shares out. (basic) (mn) | 199.6 | 189.3 | 179.8 | 161.9 |
| Wtd avg shares out. (diluted) (mn) | 199.6 | 189.3 | 179.8 | 161.9 |

## Balance Sheet ($ mn)

| | 12/25 | 12/26E | 12/27E | 12/28E |
|---|---|---|---|---|
| Cash & cash equivalents | 2,008.8 | 1,664.4 | 1,601.1 | 657.7 |
| Accounts receivable | – | – | – | – |
| Inventory | 12,905.8 | 13,646.4 | 14,581.3 | 15,232.8 |
| Other current assets | – | – | – | – |
| **Total current assets** | **14,914.6** | **15,310.9** | **16,182.4** | **15,890.5** |
| Net PP&E | 238.6 | 250.7 | 266.6 | 282.3 |
| Net intangibles | 66.6 | 65.2 | 65.2 | 65.2 |
| Total investments | 167.3 | 168.1 | 168.1 | 168.1 |
| Other long-term assets | 2,899.9 | 2,941.1 | 2,910.8 | 2,967.3 |
| **Total assets** | **18,048.4** | **18,485.3** | **19,326.5** | **19,091.1** |
| Accounts payable | 724.9 | 736.7 | 760.8 | 781.5 |
| Short-term debt | – | – | – | – |
| Current lease liabilities | 133.2 | 133.2 | 133.2 | 133.2 |
| Other current liabilities | 2,041.4 | 2,000.0 | 2,082.9 | 1,986.9 |
| **Total current liabilities** | **2,899.5** | **2,869.9** | **2,976.9** | **2,901.7** |
| Long-term debt | 2,163.4 | 2,275.8 | 2,275.8 | 2,275.8 |
| Non-current lease liabilities | – | – | – | – |
| Other long-term liabilities | – | – | – | – |
| **Total long-term liabilities** | **2,163.4** | **2,275.8** | **2,275.8** | **2,275.8** |
| **Total liabilities** | **5,063.0** | **5,145.7** | **5,252.7** | **5,177.5** |
| Preferred shares | – | – | – | – |
| **Total common equity** | **12,985.4** | **13,339.6** | **14,073.8** | **13,913.6** |
| Minority interest | – | – | – | – |
| **Total liabilities & equity** | **18,048.4** | **18,485.3** | **19,326.5** | **19,091.1** |
| BVPS ($) | 66.33 | 72.03 | 80.01 | 85.94 |

## Cash Flow ($ mn)

| | 12/25 | 12/26E | 12/27E | 12/28E |
|---|---|---|---|---|
| Net income | 2,218.7 | 1,915.3 | 2,096.6 | 2,315.2 |
| D&A add-back | 112.5 | 96.3 | 99.1 | 105.1 |
| Minority interest add-back | – | – | – | – |
| Net (inc)/dec working capital | (731.1) | (822.8) | (806.7) | (795.1) |
| Others | 271.1 | 92.8 | 79.0 | 81.6 |
| **Cash flow from operations** | **1,871.2** | **1,281.7** | **1,468.0** | **1,706.8** |
| Capital expenditures | (122.7) | (108.4) | (115.0) | (120.8) |
| Acquisitions | – | – | – | – |
| Divestitures | – | – | – | – |
| Others | 42.3 | 0.5 | – | – |
| **Cash flow from investing** | **(80.4)** | **(107.9)** | **(115.0)** | **(120.8)** |
| Dividends paid | (176.7) | (198.7) | (201.4) | (194.3) |
| Share issuance/(repurchase) | (1,200.0) | (1,379.4) | (1,215.0) | (2,335.2) |
| Inc/(dec) in debt | (19.1) | 119.4 | – | – |
| Others | (40.0) | (59.4) | – | – |
| **Cash flow from financing** | **(1,435.7)** | **(1,518.1)** | **(1,416.3)** | **(2,529.5)** |
| **Total cash flow** | **355.1** | **(344.3)** | **(63.3)** | **(943.5)** |
| Free cash flow | 1,748.5 | 1,173.3 | 1,353.0 | 1,586.0 |
| Free cash flow per share (basic) ($) | 8.76 | 6.20 | 7.53 | 9.80 |

Source: Company data, Goldman Sachs Research estimates.



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backlog expands, we believe the greater visibility along with cycle times at pre-pandemic norms will allow for increased agility with starts, helping to maintain a balance in inventories. We model full-year HB revenues down 4% YOY, with closings down 3% and ASPs off 2%, all in line with the guide. Given conditions, 1Q orders were led by move-up and active adult buyers, up 3% and 14%, respectively, while first time was down <1% YOY. By geography, Pulte saw strength in the Northeast and the Southeast, highlighting Florida with orders up 18%. The Midwest was impacted by the harsh winter weather while Texas and the West remain the weakest, though we are encouraged by early signs of stabilization.

**Second Half Gross Margin Improvement Driven by Mix Shift:** Given conditions, the path for margins was a focus of the call. The company noted incentives were 10.9% of ASP, up 290bps YOY and 100bps sequentially, given the environment and efforts to reduce specs. As the balance of specs close, 2Q is expected to be the low point for the gross margin followed by a gradual sequential improvement led by the shift to more profitable build-to-order and active adult sales. This assumes incentives hold at elevated levels given the backdrop including pressure on first time buyers and the need to sell-through the remaining standing inventories, especially out West. Build costs were down 5% including lower lumber, with management reiterating expectations that costs will be flat to slightly down this year. Similar to peers, any inflation from the move in oil won't be realized until late 2026 or 2027. We model the 2026 home sales gross margin (incl. amortized interest) of 24.5%, down 175bps YOY, and in line with the guide for the low-end of the 24.5-25.0% range. We are encouraged by comments that land inflation is starting to ease as prices stabilize in much of the country and are down in a select few. Management also noted they are seeing more opportunities to negotiate favorable terms around price, timing or both. In our view, this suggests upside to future profitability, even if conditions don't recover. The lack of leverage was key to SG&A this quarter, though we model normal seasonality in the back half as volumes come through. With this, our 2026 HB EBIT margin is down 272bps to 14.8% YOY.

**Revising Estimates and Price Target, Maintain Neutral Rating:** Given guidance and revisions to the model, our 2026 adj. EPS estimate goes to $10.15 from $9.75 while 2027 is now $11.70 from $10.95 along with our 2028 estimate at $14.30 from $13.15. In turn, our 12-month price target goes to $142 from $133, based on 2.0x (was 1.8x) our NTM tangible BV/share estimate. The higher multiple reflects our increased confidence in the ability to execute.

**Updating Scenario Analysis:** Over the next 12 months, our upside case implies a valuation of $163, which is 14.2x the implied 2026 EPS estimate. On the downside, our implied valuation is $101 which is 10.9x the implied 2026 EPS estimate. Given the current valuation, we see a balanced risk/reward for PHM.



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**Exhibit 1: Upside/Downside Scenarios**

| 2026 Estimate | Downside Case | Base Case | Upside Case |
|---|---|---|---|
| Homebuilding Revenues | $15,351 | $16,166 | $16,987 |
| YOY Change | (9.3%) | (4.5%) | 0.4% |
| Homebuilding EBIT Margin | 14.1% | 14.8% | 16.1% |
| Homebuilding EBIT | $2,171 | $2,386 | $2,733 |
| Total EBT | $2,313 | $2,528 | $2,876 |
| Share Count | 189 | 189 | 189 |
| **Implied EPS** | **$9.25** | **$10.15** | **$11.50** |
| YOY Change | (19%) | (11%) | 1% |
| **P/E Valuation** | | | |
| P/E Multiple | 10.9x | 14.0x | 14.2x |
| **Implied Valuation** | **$101** | **$142** | **$163** |
| Return | (23%) | 9% | 25% |

Source: Company data, Goldman Sachs Global Investment Research

**Risks:** Upside risks include: 1) greater exposure to more profitable active adult segment, 2) ability to sustain margins and returns despite operating headwinds, 3) successful launch of new products targeting key customer groups, and 4) greater-than-expected shareholder returns. Downside risks include: 1) greater than expected inflation in land, labor, or materials could impact profitability, 2) mortgage rates hold higher for longer, resulting in elevated incentives, and 3) increased competition for land.



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# Disclosure Appendix

## Reg AC

We, Susan Maklari, Charles Perron-Piche, CFA, Rhea Bhatia and Galilee Best, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

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**Growth** is based on a stock's forward-looking sales growth, EBITDA growth and EPS growth (for financial stocks, only EPS and sales growth), with a higher percentile indicating a higher growth company. **Financial Returns** is based on a stock's forward-looking ROE, ROCE and CROCI (for financial stocks, only ROE), with a higher percentile indicating a company with higher financial returns. **Multiple** is based on a stock's forward-looking P/E, P/B, price/dividend (P/D), EV/EBITDA, EV/FCF and EV/Debt Adjusted Cash Flow (DACF) (for financial stocks, only P/E, P/B and P/D), with a higher percentile indicating a stock trading at a higher multiple. The **Integrated** percentile is calculated as the average of the Growth percentile, Financial Returns percentile and (100% - Multiple percentile).

Financial Returns and Multiple use the Goldman Sachs analyst forecasts at the fiscal year-end at least three quarters in the future. Growth uses inputs for the fiscal year at least seven quarters in the future compared with the year at least three quarters in the future (on a per-share basis for all metrics).

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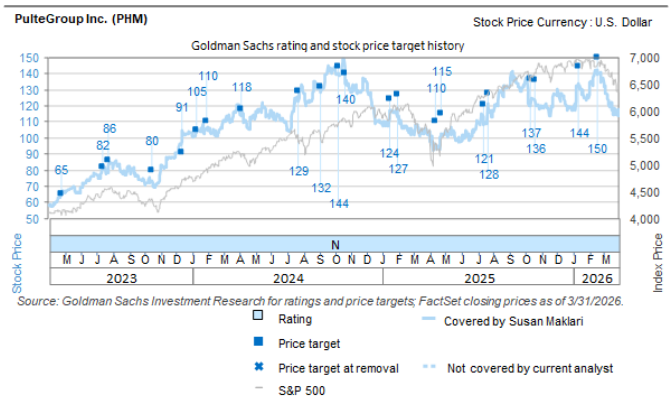
## Price target and rating history chart(s)

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## Target price history table(s)

### PulteGroup Inc. (PHM)

| Date of report | Target price ($) | Closing price ($) |
|---|---|---|
| 10-Apr-26 | 133.00 | 120.33 |
| 17-Feb-26 | 150.00 | 141.58 |
| 13-Jan-26 | 144.00 | 133.66 |
| 21-Oct-25 | 136.00 | 123.27 |
| 13-Oct-25 | 137.00 | 120.49 |
| 23-Jul-25 | 128.00 | 119.28 |
| 15-Jul-25 | 121.00 | 108.00 |
| 23-Apr-25 | 115.00 | 101.06 |
| 14-Apr-25 | 110.00 | 95.44 |
| 31-Jan-25 | 127.00 | 113.78 |
| 14-Jan-25 | 124.00 | 112.50 |
| 22-Oct-24 | 140.00 | 133.81 |
| 08-Oct-24 | 144.00 | 140.17 |
| 03-Sep-24 | 132.00 | 128.79 |
| 23-Jul-24 | 129.00 | 125.67 |
| 05-Apr-24 | 118.00 | 116.35 |
| 31-Jan-24 | 110.00 | 104.56 |
| 10-Jan-24 | 105.00 | 105.21 |
| 14-Dec-23 | 91.00 | 104.88 |
| 16-Oct-23 | 80.00 | 72.88 |
| 25-Jul-23 | 86.00 | 83.42 |
| 13-Jul-23 | 82.00 | 80.35 |
| 25-Apr-23 | 65.00 | 64.95 |

Price targets shown in table(s) are unadjusted for corporate actions.

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Equity Research Report

April 23, 2026

**INDUSTRIALS:** Homebuilding

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| | |
|---|---|
| Stock Rating | **BUY** *Unchanged* |
| Price Target | **$150.00** *Unchanged* |

| | |
|---|---|
| TR to Target | 15.6% |
| Price (Apr. 23, 2026) | $130.64 |
| 52-Wk Range | $142.56-$97.55 |
| Market Cap ($M) | $25,214 |
| ADTV | 1,326,407 |
| Shares Out (M) | 193 |
| Short Interest Ratio/% Of Float | 4.1% |
| Dividend/Yield | $1.04/0.8% |
| Enterprise Value ($M) | $25,647 |
| Cash & Equivalents ($M) | $1,843 |
| Total Debt ($M) | $2,276 |

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## Reasons for this report

✓ Updating Estimates

# PulteGroup, Inc. (PHM)

## PHM - 1Q26 Earnings - 2026 Guidance Ranges Maintained With Progress Made On BTO Mix Shift

PHM stock was up 2.4% today (S&P 500 -0.4%) a modest EPS miss but with home sale revenue somewhat above the Street. Overall, we did not see any substantial negatives, but we were somewhat surprised by a sequential step-up in incentive load given that some peers had reported stabilization or even improvement here. Clearing excess spec inventory probably added to this, but note that management indicated 2Q would be the low point in margins for the year. The prior guidance ranges were maintained, though margin was indicated to the lower end of the 2026 range, which accounts for most of our lower 2026 EPS estimate.

**Changes to Our Estimates.** We are slightly lowering our 2026 EPS estimate to $9.95 from $10.11 (Street $10.01), as well as our 2027 EPS estimate to $10.97 from $11.34 (Street $10.86). Our lowered EPS estimate primarily reflects a lower homebuilding gross margin assumption compared to our prior estimate following management's comments on the call today that margins would likely be towards the low end of the guidance range for 2026. We are maintaining our $150 price target on the shares, as we think our current ROE projections support a 2.2x P/B multiple on the shares.

**Results Overview.** PHM reported 1Q26 EPS of $1.79, compared to the Street view of $1.82. This was a 30% y/y decline and driven by a 12% y/y decline in home sale revenue ($3,308 million vs Street of $3,281 million) and a ~310 bp decline in home sale gross margin. Home sale gross margin came in at 24.4%, which was somewhat below the 24.7% consensus. Deliveries (6,102) beat Street expectations (5,922), but were still down about 7% y/y. However, we note that ASP was a good bit worse than Street expected at $542K versus the $552K consensus. This was down about 5% y/y. Note that a 64% y/y decline in Financial Services pretax income to $13 million (Street $32 million) also weighed on results.

**Full Year Guidance Ranges Maintained.** On the call, the company provided its guidance ranges, which were unchanged from the prior ranges. Notable, this calls for closings between 28,500-29,000 (Street 28,636), gross margin of 24.5%-25.0% (Street 24.7%), and ASP between $550K-$560K (Street $555K). Investors should note that management did indicate gross margin would likely be at the lower end of the range, which we have reflected in our estimates.

**Quarterly Ranges Provided on Call.** In accordance with the typical cadence, the company also provided a guidance framework for the forward quarter on the call. Note that closings and gross margin guidance was below our expectations, but as mentioned above, the company did maintain its FY guidance. Management noted that 2Q gross margins should be the low point for the year, with the back half benefiting from product mix and a higher share of BTO homes.

**Regional Performance Shows Order Growth Along East.** Note that the company saw positive new orders in its Florida (+18%), Southeast (+5%), and Northeast (+9%) business. The geographic Southeast (including FL) continues to be a strong geography for PHM. The Florida and Southeast regions were also the only to see positive y/y growth in closings in

| EPS | 2025A | 2026E | | | 2027E | | |
|---|---|---|---|---|---|---|---|
| FYE Dec | | New | Old | Cons | New | Old | Cons |
| Q1 | $2.57 | $1.79 | *$1.74* | -- | $1.98 | *$2.01* | -- |
| Q2 | $3.03 | $2.30 | *$2.66* | -- | $2.67 | *$2.79* | -- |
| Q3 | $2.96 | $2.87 | *$2.82* | -- | $3.09 | *$3.16* | -- |
| Q4 | $2.56 | $3.01 | *$2.91* | -- | $3.24 | *$3.40* | -- |
| Year | $11.12 | $9.95 | *$10.11* | $10.01 | $10.97 | *$11.34* | $10.86 |
| P/E | 11.7x | 13.1x | | | 11.9x | | |

the quarter. The company noted on the call that all of its Florida markets experienced y/y growth during the quarter.

**BTO Mix Grows During the Quarter, Still a Ways Away From 60% Mix Target.** BTO homes accounted for 43% of net new orders during the quarter, up about 3 percentage points from the comparable quarter. Note that management is still shifting this back to its historical ~60% BTO mix, though this will take some time to achieve. Commentary on the call seemed to indicate that this will be achieved in early 2027. We are fairly conservative in our margin assumptions, with incremental benefits from this shift mainly in 1H27. Higher active adult mix could drive some additional upside to our and Street margin assumptions, in our view.

**Incentive Usage Steps Up Sequentially.** We did see a step-up sequentially in incentive usage, which we view as an incremental negative compared to some of the other builders reporting more stable/improved incentive loads. Incentive load for PHM in 1Q was 10.9% of gross sales price, compared to 9.9% in 4Q. We typically see incentive usage decline with BTO business, so we think this likely means the Centex business had to more meaningfully ramp incentives. A higher BTO mix in the back half of the year and in 2027 could help to bring down this incentive load, but this remains to be seen. Investors should note that PHM still boasts among the best gross margins in the group even with recent incentive increases.

**Increase in Repurchase Authorization.** In a separate release this morning, the company announced that it raised its share repurchase authorization by $1.5 billion, bringing the current authorization to $2.1 billion. Share repurchases in the quarter were up modestly y/y on a dollar basis, while land acquisition and development spending was also higher. In our view, PHM is well positioned to be a leader in the group for capital returns over the next few years given its strong land pipeline.

## PulteGroup, Inc.

Income Statement
$ millions

| | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 | 1Q | 2Q | 3Q | 4Q | 2025 | 1Q | 2QE | 3QE | 4QE | 2026E | 2027E |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Revenues: | | | | | | | | | | | | | | | | | |
| Homebuilding | $9,978.5 | $10,673.9 | $13,537.4 | $15,691.3 | $15,740.8 | $17,514.0 | $3,801.8 | $4,302.6 | $4,301.5 | $4,517.3 | $16,923.3 | $3,336.8 | $3,842.8 | $4,361.3 | $4,601.1 | $16,142.0 | $16,939.1 |
| Home Sale Revenue | $9,915.7 | $10,579.9 | $13,376.8 | $15,548.1 | $15,598.7 | $17,318.5 | $3,749.3 | $4,268.0 | $4,248.4 | $4,477.9 | $16,743.5 | $3,307.5 | $3,808.2 | $4,331.3 | $4,571.1 | $16,018.0 | $16,815.2 |
| *Y/Y Growth* | *1.0%* | *6.7%* | *26.4%* | *16.2%* | *0.3%* | *11.0%* | *-1.8%* | *-4.1%* | *-2.2%* | *-4.9%* | *-3.3%* | *-11.8%* | *-10.8%* | *2.0%* | *2.1%* | *-4.3%* | *5.0%* |
| Land Sale and Other Revenue | $62.8 | $94.0 | $160.5 | $143.1 | $142.1 | $195.4 | $52.6 | $34.6 | $53.2 | $39.4 | $179.8 | $29.3 | $34.6 | $30.0 | $30.0 | $123.9 | $123.9 |
| Financial Services | $234.4 | $362.2 | $389.5 | $311.7 | $320.8 | $433.0 | $90.8 | $101.2 | $103.3 | $93.4 | $388.7 | $71.7 | $80.9 | $98.1 | $90.0 | $340.8 | $347.6 |
| **Total Revenues** | **$10,213.0** | **$11,036.1** | **$13,926.9** | **$16,003.0** | **$16,061.6** | **$17,947.0** | **$3,892.7** | **$4,403.8** | **$4,404.8** | **$4,610.7** | **$17,312.0** | **$3,408.6** | **$3,923.7** | **$4,459.4** | **$4,691.1** | **$16,482.7** | **$17,286.7** |
| ***Y/Y Growth*** | ***0.2%*** | ***8.1%*** | ***26.2%*** | ***14.9%*** | ***0.4%*** | ***11.7%*** | ***-1.4%*** | ***-4.3%*** | ***-1.6%*** | ***-6.3%*** | ***-3.5%*** | ***-12.4%*** | ***-10.9%*** | ***1.2%*** | ***1.7%*** | ***-4.8%*** | ***4.9%*** |
| Expenses: | | | | | | | | | | | | | | | | | |
| Homebuilding COGS | -$7,684.8 | -$8,082.4 | -$9,976.0 | -$10,987.8 | -$11,154.8 | -$12,501.7 | -$2,770.1 | -$3,145.9 | -$3,181.6 | -$3,409.8 | -$12,507.5 | -$2,527.3 | -$2,912.8 | -$3,284.0 | -$3,464.6 | -$12,188.8 | -$12,749.8 |
| Home Sale COGS | -$7,628.7 | -$8,004.8 | -$9,842.0 | -$10,867.9 | -$11,030.2 | -$12,311.8 | -$2,719.1 | -$3,115.5 | -$3,133.5 | -$3,373.3 | -$12,341.4 | -$2,500.2 | -$2,882.3 | -$3,254.0 | -$3,434.6 | -$12,071.1 | -$12,632.2 |
| *Y/Y Growth* | *1.2%* | *4.9%* | *23.0%* | *10.4%* | *1.5%* | *11.6%* | *1.1%* | *-0.1%* | *1.4%* | *-1.2%* | *0.2%* | *-8.1%* | *-7.5%* | *3.8%* | *1.8%* | *-2.2%* | *4.6%* |
| Land Sale and Other COGS | -$56.1 | -$77.6 | -$134.0 | -$119.9 | -$124.6 | -$189.9 | -$51.0 | -$30.5 | -$48.1 | -$36.5 | -$166.0 | -$27.1 | -$30.5 | -$30.0 | -$30.0 | -$117.6 | -$117.6 |
| **Homebuilding Gross Profit** | **$2,287.0** | **$2,575.1** | **$3,534.9** | **$4,680.2** | **$4,568.5** | **$5,006.8** | **$1,030.2** | **$1,152.5** | **$1,114.8** | **$1,104.6** | **$4,402.1** | **$807.4** | **$925.8** | **$1,077.2** | **$1,136.5** | **$3,946.9** | **$4,183.0** |
| ***Margin*** | ***23.1%*** | ***24.3%*** | ***26.4%*** | ***30.1%*** | ***29.3%*** | ***28.9%*** | ***27.5%*** | ***27.0%*** | ***26.2%*** | ***24.7%*** | ***26.3%*** | ***24.4%*** | ***24.3%*** | ***24.9%*** | ***24.9%*** | ***24.6%*** | ***24.9%*** |
| ***Y/Y Growth*** | ***0.4%*** | ***12.6%*** | ***37.3%*** | ***32.4%*** | ***-2.4%*** | ***9.6%*** | ***-8.9%*** | ***-13.4%*** | ***-11.0%*** | ***-14.6%*** | ***-12.1%*** | ***-21.6%*** | ***-19.7%*** | ***-3.4%*** | ***2.9%*** | ***-10.3%*** | ***6.0%*** |
| Financial Services Expenses | -$130.8 | -$175.5 | -$168.5 | -$180.7 | -$187.3 | -$224.1 | -$55.0 | -$59.6 | -$58.9 | -$58.4 | -$231.9 | -$59.2 | -$61.4 | -$61.8 | -$60.0 | -$242.4 | -$249.7 |
| SG&A | -$1,044.3 | -$1,011.4 | -$1,208.7 | -$1,381.2 | -$1,312.6 | -$1,321.3 | -$393.3 | -$390.5 | -$400.7 | -$389.5 | -$1,573.9 | -$380.3 | -$365.1 | -$392.5 | -$414.1 | -$1,552.0 | -$1,608.2 |
| | 10.5% | 9.6% | 9.0% | 8.9% | 8.4% | 7.6% | | | | | 9.4% | | | | | 9.7% | 9.6% |
| Equity Income | $0.0 | $0.0 | $0.0 | $50.7 | $4.6 | $44.2 | $0.5 | $0.4 | $2.4 | $0.8 | $4.1 | $0.9 | $0.4 | $2.4 | $0.8 | $4.5 | $4.5 |
| Other Incomes (Expense) | -$13.5 | -$37.8 | -$63.4 | -$64.4 | $37.9 | $61.7 | $6.4 | -$1.0 | $1.8 | -$98.6 | -$91.5 | $6.7 | -$1.0 | $1.8 | $0.0 | $7.5 | $0.7 |
| **EBT** | **$1,339.6** | **$1,728.9** | **$2,510.3** | **$3,439.6** | **$3,449.3** | **$4,005.9** | **$681.1** | **$807.2** | **$767.8** | **$655.2** | **$2,911.3** | **$449.4** | **$583.8** | **$725.1** | **$753.2** | **$2,511.5** | **$2,684.3** |
| ***Margin*** | ***13.1%*** | ***15.7%*** | ***18.0%*** | ***21.5%*** | ***21.5%*** | ***22.3%*** | ***17.5%*** | ***18.3%*** | ***17.4%*** | ***14.2%*** | ***16.8%*** | ***13.2%*** | ***14.9%*** | ***16.3%*** | ***16.1%*** | ***15.2%*** | ***15.5%*** |
| ***Y/Y Growth*** | ***-0.6%*** | ***29.1%*** | ***45.2%*** | ***37.0%*** | ***0.3%*** | ***16.1%*** | ***-21.6%*** | ***-23.0%*** | ***-15.3%*** | ***-44.6%*** | ***-27.3%*** | ***-34.0%*** | ***-27.7%*** | ***-5.6%*** | ***14.9%*** | ***-13.7%*** | ***6.9%*** |
| Income Taxes | -$322.9 | -$321.9 | -$563.5 | -$822.2 | -$846.9 | -$922.6 | -$158.3 | -$198.7 | -$182.0 | -$153.6 | -$692.6 | -$102.4 | -$143.0 | -$181.3 | -$188.3 | -$615.0 | -$657.7 |
| Tax Rate | 24.1% | 18.6% | 22.4% | 23.9% | 24.6% | 23.0% | 23.2% | 24.6% | 23.7% | 23.4% | 23.8% | 22.8% | 24.5% | 25.0% | 25.0% | 24.5% | 24.5% |
| **Net Income** | **$1,016.7** | **$1,407.0** | **$1,946.8** | **$2,617.3** | **$2,602.4** | **$3,083.3** | **$522.8** | **$608.5** | **$585.8** | **$501.6** | **$2,218.7** | **$347.0** | **$440.8** | **$543.9** | **$564.9** | **$1,896.5** | **$2,026.7** |
| ***Margin*** | ***10.0%*** | ***12.7%*** | ***14.0%*** | ***16.4%*** | ***16.2%*** | ***17.2%*** | ***13.4%*** | ***13.8%*** | ***13.3%*** | ***10.9%*** | ***12.8%*** | ***10.2%*** | ***11.2%*** | ***12.2%*** | ***12.0%*** | ***11.5%*** | ***11.7%*** |
| ***Y/Y Growth*** | ***-0.5%*** | ***38.4%*** | ***38.4%*** | ***34.4%*** | ***-0.6%*** | ***18.5%*** | ***-21.1%*** | ***-24.8%*** | ***-16.1%*** | ***-45.1%*** | ***-28.0%*** | ***-33.6%*** | ***-27.6%*** | ***-7.2%*** | ***12.6%*** | ***-14.5%*** | ***6.9%*** |
| Per Share Metrics: | | | | | | | | | | | | | | | | | |
| Basic Shares Outstanding | 274.53 | 268.56 | 259.32 | 235.07 | 219.99 | 208.12 | 202.06 | 199.24 | 196.54 | 194.14 | 198.00 | 192.09 | 190.17 | 188.27 | 186.38 | 189.23 | 183.55 |
| Diluted Shares Outstanding | 275.33 | 269.36 | 259.97 | 236.23 | 221.20 | 209.85 | 203.66 | 200.68 | 198.14 | 195.78 | 199.57 | 193.40 | 191.47 | 189.55 | 187.66 | 190.52 | 184.81 |
| **Basic EPS** | **$3.70** | **$5.24** | **$7.51** | **$11.13** | **$11.83** | **$14.81** | **$2.59** | **$3.05** | **$2.98** | **$2.58** | **$11.21** | **$1.81** | **$2.32** | **$2.89** | **$3.03** | **$10.02** | **$11.04** |
| **Diluted EPS** | **$3.69** | **$5.22** | **$7.49** | **$11.08** | **$11.76** | **$14.69** | **$2.57** | **$3.03** | **$2.96** | **$2.56** | **$11.12** | **$1.79** | **$2.30** | **$2.87** | **$3.01** | **$9.95** | **$10.97** |
| ***Y/Y Growth*** | ***2.8%*** | ***41.5%*** | ***43.3%*** | ***48.3%*** | ***6.2%*** | ***25.2%*** | ***-17.3%*** | ***-20.9%*** | ***-11.7%*** | ***-42.2%*** | ***-24.4%*** | ***-30.2%*** | ***-24.1%*** | ***-3.1%*** | ***17.3%*** | ***-10.6%*** | ***10.2%*** |

Source: Company data, Truist Securities

## PulteGroup, Inc.

Balance Sheet
$ millions

| | 2020 | 2021 | 2022 | 2023 | 2024 | 1Q | 2Q | 3Q | 4Q | 2025 | 1Q | 2026E | 2027E |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **Assets:** | | | | | | | | | | | | | |
| Total Cash | $2,632.2 | $1,833.6 | $1,094.6 | $1,849.2 | $1,653.7 | $1,275.9 | $1,267.3 | $1,479.6 | $2,008.8 | $2,008.8 | $1,843.4 | | |
| Cash and Equivalents | $2,582.2 | $1,779.1 | $1,053.1 | $1,806.6 | $1,613.3 | $1,235.7 | $1,234.2 | $1,451.53 | $1,980.87 | $1,980.9 | $1,807.02 | | |
| Restricted Cash | $50.0 | $54.5 | $41.4 | $42.6 | $40.4 | $40.2 | $33.2 | $28.03 | $27.91 | $27.9 | $36.37 | | |
| House and Land Inventory | $7,721.8 | $9,047.6 | $11,326.0 | $11,795.4 | $12,665.8 | $12,959.5 | $13,216.0 | $13,351.98 | $12,925.41 | $12,925.4 | $13,301.03 | | |
| Land Held for Sale | $28.0 | $29.3 | $42.3 | $23.8 | $27.0 | | | | | $0.0 | | | |
| Residential Mortgage Loans Available for Sale | $565.0 | $947.1 | $677.2 | $516.1 | $629.6 | $642.8 | $581.6 | $486.07 | $613.67 | $613.7 | $509.27 | | |
| Land, not owned under options agreements | | | | | | | | | | | | | |
| Investment in Unconsolidated Entities | $35.6 | $98.2 | $146.8 | $166.9 | $215.4 | $220.8 | $181.8 | $179.19 | $167.34 | $167.3 | $168.14 | | |
| Other Assets | $923.3 | $1,111.0 | $1,291.6 | $1,545.7 | $2,002.0 | $2,071.7 | $2,178.8 | $2,196.18 | $2,217.48 | $2,217.5 | $2,260.83 | | |
| Goodwill | $0.0 | $0.0 | $0.0 | $68.9 | $68.9 | $68.9 | $68.9 | $68.93 | $40.38 | $40.4 | $40.38 | | |
| Other Intangibles | $0.0 | $0.0 | $0.0 | $56.3 | $46.3 | $43.9 | $41.6 | $39.34 | $26.21 | $26.2 | $24.80 | | |
| Total Intangible | $163.4 | $146.9 | $135.8 | $125.3 | $115.2 | $112.9 | $110.6 | $108.3 | $66.6 | $66.6 | $65.2 | | |
| Deferred Tax Asset | $136.3 | $139.0 | $82.3 | $64.8 | $55.0 | $53.0 | $51.7 | $49.74 | $49.16 | $49.2 | $48.15 | | |
| **Total Assets** | **$12,205.5** | **$13,352.6** | **$14,796.5** | **$16,087.1** | **$17,363.8** | **$17,336.5** | **$17,587.8** | **$17,851.0** | **$18,048.4** | **$18,048.4** | **$18,196.0** | **$18,112.9** | **$18,196.5** |
| **Liabilities:** | | | | | | | | | | | | | |
| Accounts Payable | $511.3 | $621.2 | $566.0 | $619.0 | $728.0 | $682.1 | $712.9 | $731.10 | $724.89 | $724.9 | $688.54 | | |
| Customer Deposits | $449.5 | $844.8 | $783.6 | $675.1 | $512.6 | $541.5 | $520.5 | $470.75 | $387.84 | $387.8 | $466.55 | | |
| Deferred Tax Liabilities | $103.5 | $165.5 | $215.4 | $302.2 | $443.6 | $462.0 | $460.1 | $490.21 | $448.49 | $448.5 | $456.78 | | |
| Accrued and Other Liabilities | $1,407.0 | $1,576.5 | $1,685.2 | $1,645.7 | $1,412.2 | $1,297.5 | $1,198.0 | $1,305.32 | $1,338.33 | $1,338.3 | $1,354.13 | | |
| Financial Services Debt | $411.8 | $626.1 | $586.7 | $499.6 | $526.9 | $426.9 | $498.4 | $404.22 | $532.34 | $532.3 | $455.05 | | |
| Revolving Credit Facility | | | | | | | | | | | | | |
| Notes Payable | $2,752.3 | $2,029.0 | $2,045.5 | $1,962.2 | $1,618.6 | $1,625.7 | $1,623.1 | $1,623.34 | $1,631.10 | $1,631.1 | $1,820.77 | | |
| Term Loan | | | | | | | | | | | | | |
| **Total Liabilities** | **$5,635.5** | **$5,863.1** | **$5,882.4** | **$5,703.8** | **$5,241.8** | **$5,035.6** | **$5,012.9** | **$5,024.9** | **$5,063.0** | **$5,063.0** | **$5,241.8** | **$5,175.1** | **$5,199.0** |
| Shareholders Equity | $6,570.0 | $7,489.5 | $8,914.1 | $10,383.3 | $12,122.0 | $12,301.0 | $12,574.9 | $12,826.04 | $12,985.44 | $12,985.4 | $12,954.15 | $12,937.8 | $12,997.5 |
| **Total Liabilities and Shareholder Equity** | **$12,205.5** | **$13,352.6** | **$14,796.5** | **$16,087.1** | **$17,363.8** | **$17,336.5** | **$17,587.8** | **$17,851.0** | **$18,048.4** | **$18,048.4** | **$18,196.0** | **$18,112.9** | **$18,196.5** |

Source: Company data, Truist Securities

## Company Description

PulteGroup, Inc. (PHM) is a large Atlanta-based homebuilder whose primary business is the vertical construction of single family detached homes (80%+ of mix) and attached townhomes. The company operates under a variety of brand names, including Pulte homes, American West, John Wieland Homes and Neighborhoods, Del Webb, Centex, and Divosta. PHM serves a wide range of customers, from first time buyers to its large category leading Del Webb brand of active adult communities. With respect to market sizing, the company is currently the third-largest US builder by both revenue and closing volume.

## Investment Thesis

We are Buy-rated on PHM as we believe the market is notably underpricing PHM based on their attractive margin profile and ability to return capital. We specifically call out the company's strong land portfolio, which provides management with outsized visibility into future available land allowing for incrementally more efficient capital deployment versus peers. Our FY2 ROE projections suggest the company should be trading at 2.3x 2025 P/B compared to the 2.0x currently priced in by the market.

## Valuation and Risks

Our $150 price target is derived from a 14x multiple applied to our 2027 EPS estimate and a 2.2x P/B multiple. We have utilized a regression analysis on the broader homebuilder group to establish what we feel is a fair value P/B multiple for PHM. Our target P/B multiple is somewhat above the company's 10-yr average.

Risks to our price target and rating include a meaningful deterioration in the US housing market, political pressure to flood the market with supply and thus pressuring home prices, and also a tough land environment that would make it more difficult to efficiently allocate capital.

## Companies Mentioned in This Note

**PulteGroup, Inc.** (PHM, $130.64, Buy, Jonathan Bettenhausen)

## Analyst Certification

I, Jonathan Bettenhausen , hereby certify that the views expressed in this research report accurately reflect my personal views about the subject company(ies) and its (their) securities. I also certify that I have not been, am not, and will not be receiving direct or indirect compensation in exchange for expressing the specific recommendation(s) in this report.

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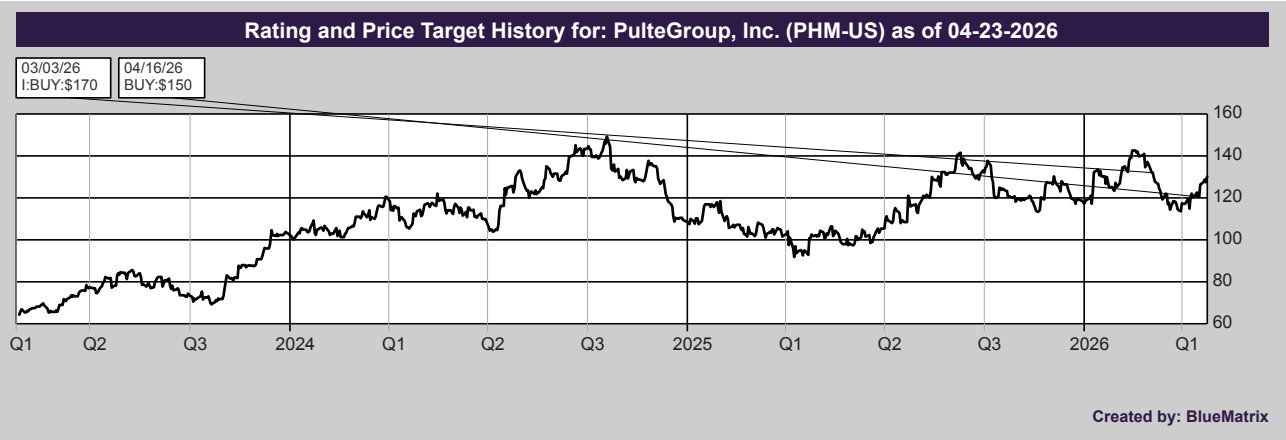

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|---|---|---|---|---|---|
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| Hold | 250 | 33.16% | Hold | 52 | 20.80% |
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HOUSING AND REAL ESTATE SERVICES EQUITY RESEARCH

BTIG

# PulteGroup, Inc. (PHM, Neutral)

April 23, 2026

Ryan Gilbert
(212) 527-3524 rgilbert@btig.com

## Trimming Estimates After 1Q26 Miss and Light 2Q Guide

**WHAT YOU SHOULD KNOW:** PHM reported 1Q26 EPS of $1.79, below our estimate of $1.88 and consensus $1.81. Lower than expected ASP and gross margin drove the miss to our estimate. Orders increased 3% y/y vs. our 7% est. The 2Q26 guide was light on deliveries and gross margin as PHM finishes working through the last of its excess standing inventory. However, PHM maintained its full-year guide and offered generally "better-than-feared" commentary on demand through the spring and into April, which likely supported the stock today. Meeting the guide will require a 2H re-acceleration in deliveries and gross margin as mix shifts back to higher margin build-to-order and active adult homes. PHM trades at a 1.9x PTB multiple and we believe investors continue to give PHM credit for a successful mix shift. So, the ball is in PHM's court, but this management team has executed well to-date. We believe PHM is fairly valued at 1.9x and we remain Neutral.

- **Revenue, orders, and backlog.** Home sales revenue declined -12% y/y to $3.3B vs. our $3.4B est. Deliveries declined -7% y/y to 6,102 vs. our 6,060 est. and the 5,700-6,100 guide and ASP declined -5% y/y to $542K vs. our $559K est. and the $550-560K guide. Orders increased 3% y/y to 8,034, below our 8,316 est. Avg community count increased 9% y/y vs. our 5% est. and absorption declined -5% y/y vs. our +2% est. Backlog declined -8% y/y to 10,427 vs. our 10,751 est. and backlog value declined -10% y/y to $6.5B vs. our $6.5B est.
- **Margins.** 1Q26 gross margin declined -310 bps y/y to 24.4% vs. our 24.6% est., just below the guide of 24.5%-25.0%. Incentives were 10.9%, up 100 bps q/q and 290 bps y/y as PHM worked through standing inventory. SG&A/Sales increased 100 bps y/y to 11.5% vs. our 11.5% est. and the 11.5% guide. Homebuilding operating margin declined -390 bps y/y to 12.9% vs. our 13.0% est.
- **Controlled lots, specs, and starts.** Controlled lots of 229,245 declined -6% y/y although years of land supply was flat at 8.0, so we continue to believe the land bank is adequate to support PHM's 3%-5% community growth targets. Total specs of 6,349 declined -19% y/y and finished specs of 1,515 declined -16% y/y. Starts declined -3% y/y to 6,500 but has been in the 6,500 range for three quarters now. PHM has worked through the bulk of its excess standing inventory and starts should re-accelerate in 2Q26 to more closely match order volume.
- **2Q26 and 2026 guides.** 2Q26 was lower with the $3.6B-$3.9B home sales revenue range below our prior est. of $4.0B. The gross margin range of 24.1%-24.4% was below our prior est. of 24.7%, which mgmt attributed to elevated finished spec deliveries. PHM reiterated the full year 2026 guide but talked to the low end of the 24.5%-25.0% gross margin range. The delivery guide suggests 2H26 deliveries at 55% of full year, returning to pre-COVID trends vs. 51%-53% in 2023-2025. The guide also suggests a y/y improvement in 2H26 backlog conversion which is somewhat counterintuitive given the BTO mix shift. See Exhibit 2.
- **Estimate revisions.** We are reducing 2026E EPS to $10.01 from $10.13 on the 1Q26 miss and reducing 2027E by -2% to $10.45 from $10.64 on lower gross margin. Our 2027 est. assumes backlog conversion falls 500 bps to an average of 68% due the BTO mix shift. Pre-COVID backlog conversion averaged ~50% so we do see some downside potential to our estimates. See Exhibit 3.
- **Valuation:** We value PHM at 2.0x 1Q26 TBVPS of $67.10. BTIG does not provide price targets on Neutral-rated stocks.

**Company Data**

| | |
|---|---|
| Closing Price | $127.56 |
| Price Target | - |
| Market Cap (M) | $24,502.75 |
| Enterprise Value (M) | $25,064.19 |
| Shares Out (M) | 192.09 |
| Avg Daily Vol-3 Months (M) | 1.9 |
| Dividend / Yield | $1.04 / 0.8% |

**Revisions**

| | Previous | Current |
|---|---|---|
| Rating | Neutral | Neutral |
| Price Target | - | - |
| FY26E Sales | 15,813.01 | 15,898.67 |
| FY27E Sales | 15,615.96 | 15,643.39 |
| FY26E EPS | 10.13 | 10.01 |
| FY27E EPS | 10.64 | 10.45 |

**Home Sales Revenue**

| FY Dec | 2025A | 2026E | 2027E |
|---|---|---|---|
| Q1 | 3,749.27 | 3,307.51**A** | 2,792.97 |
| Q2 | 4,267.98 | 3,873.26 | 3,778.27 |
| Q3 | 4,248.38 | 4,278.86 | 4,346.07 |
| Q4 | 4,477.90 | 4,439.04 | 4,726.08 |
| **FY Sales** | **16,743.52** | **15,898.67** | **15,643.39** |

**Diluted EPS (Adjusted)**

| FY Dec | 2025A | 2026E | 2027E |
|---|---|---|---|
| Q1 | 2.57 | 1.79**A** | 1.50 |
| Q2 | 3.03 | 2.40 | 2.42 |
| Q3 | 2.96 | 2.73 | 2.99 |
| Q4 | 2.70 | 3.10 | 3.57 |
| **FY EPS** | **11.25** | **10.01** | **10.45** |
| FY P/E | 11.3x | 12.7x | 12.2x |

Source: FactSet, BTIG Estimates and Company Documents reported as $ currency.
**FY** = Fiscal Year **CY** = Calendar Year

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## Investment Thesis

PHM has executed its operating and capital strategy well in a challenging market, effectively managing the pace vs. price dynamic to keep inventory turning without overly diluting margin. The stock now trades at a premium multiple to the group and its larger cap peers, reflecting strong performance. During 4Q25 earnings, PHM announced it intends to shift its product mix back towards build-to-order (BTO) and away from spec. Spec is a highly competitive product, more so now given the overall industry shift, with lower gross margins than BTO. In PHM's case, we believe higher spec mix over the past few years has also contributed to improvements in backlog conversion, asset turnover, and cash flow generation, which have supported ROE. Shifting back to BTO may lessen some of these ROE supports, which is evident in the 2026 OCF guide of $1.0B vs. $1.8B in 2025. The shift may also affect earnings during the transition and persist through 2027. In our view, the bigger question is if, in the current affordability-constrained market, there is sufficient demand for BTO to support the mix shift while maintaining the current margin spread. Still, PHM's management team has executed well to-date and we believe investors are giving PHM credit for a successful mix shift to come or looking through any potential transitional earnings headwinds. We believe PHM is fairly valued at its current 1.9x 1Q26 TBVPS multiple and we remain Neutral.

## Upcoming Catalysts

- Quarterly results in line with our below-consensus view
- Our proprietary monthly homebuilder survey can provide insights on demand trends
- Interest rate fluctuations and Federal Reserve monetary policy will likely continue to impact the shares

## Base Case Assumptions

- 2026 housing demand remains weak driven by affordability challenges, unit orders and average order prices are flat 7/7
- 2026 home sales revenue decreases -5% y/y driven by fewer deliveries, and operating margin compresses -190 bps y/y

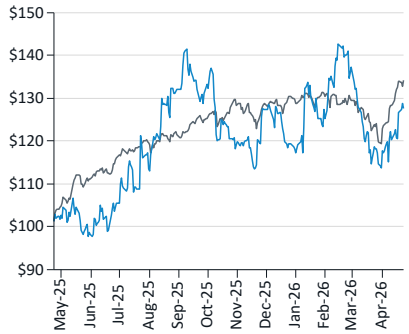
## Upside Scenario: **$166/sh**

- Lower mortgage rates and strengthening labor market drive a rebound in demand and PHM is able to reduce incentives
- In this scenario, PHM could drive delivery growth of +8% y/y, ASP +2%, and EPS +9% as margins expand
- We believe PHM could trade at 2.5x 1Q26 TBVPS yielding a $166 fair value

## Downside Scenario: **$87/sh**

- Higher interest rates and persistent affordability concerns result in higher incentives and diminished homebuyer demand
- In this scenario, deliveries decline by -12% y/y, ASP declines by -8% and EPS declines by -40% as margins compress
- We believe PHM could trade at 1.3x 1Q26 TBVPS yielding a $87 fair value

## Price Performance




Source: FactSet

## Company Description

PulteGroup (PHM) was the third-largest homebuilder in the U.S. by unit volume in 2024, delivering 31,219 homes with an average selling price of $555K. PHM currently builds in 25 states and approximately 47 metro markets with a focus on move-up, first time and "active adult" customers. PHM's entry-level customers are served by the Centex brand; active adult buyers are served through the company's Del Webb and DiVosta brands. Founded in 1950, PHM is based in Atlanta, Georgia.

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**Exhibit 1 - PHM 1Q26 Results vs. BTIG, Consensus, and 1Q25**

| Metric | Consensus | BTIG E | Actual | 1Q25 | YOY | Guidance |
|---|---|---|---|---|---|---|
| Total Homebuilding Revenue (M) | $3,374.0 | $3,418.7 | $3,336.8 | $3,778.6 | *(11.7)%* | |
| Home Sales Revenue (M) | $3,287.0 | $3,384.9 | $3,307.5 | $3,749.3 | *(11.8)%* | |
| EPS (Reported) | $1.81 | $1.88 | $1.79 | $2.57 | *(30.1)%* | |
| EPS (Adjusted) | $1.82 | $1.88 | $1.79 | $2.57 | *(30.1)%* | |
| Order Growth | 1.7% | 7.1% | 3.5% | -7.3% | | |
| Gross Margin | 23.9% | 24.6% | 24.4% | 27.5% | *(310) bp* | 24.5%-25.0% |
| SG&A/Sales | NA | 11.5% | 11.5% | 10.5% | *100 bp* | 11.5% |
| Orders (Units) | 7,898 | 8,316 | 8,034 | 7,765 | *3.5%* | |
| Orders ASP (000s) | $551.9 | $550.7 | $568.2 | $576.7 | *(1.5)%* | |
| Average Active Communities | NA | 1,009 | 1,043 | 961 | *8.5%* | 3-5% Growth |
| Weekly Absorption | NA | 0.63 | 0.59 | 0.62 | *(4.7)%* | |
| Deliveries (Units) | 5,922 | 6,060 | 6,102 | 6,583 | *(7.3)%* | 5,700-6,100 |
| Deliveries ASP (000s) | $556.7 | $558.5 | $542.0 | $570.1 | *(4.9)%* | 550k-560k |
| Backlog | 10,506 | 10,751 | 10,427 | 11,335 | *(8.0)%* | |
| Backlog ASP (000s) | $610.9 | $601.3 | $626.0 | $637.3 | *(1.8)%* | |
| Backlog Conversion Rate (Units) | 69.7% | 71.3% | 71.8% | 64.8% | *700 bp* | |
| Backlog Conversion Rate ($) | 64.0% | 64.2% | 62.8% | 57.7% | *500 bp* | |
| Financial Services PT Income (M) | $32.0 | $32.5 | $12.6 | $35.9 | *(64.9)%* | |
| Share Repurchases (M) | NA | $325.0 | $308.0 | $300.0 | *2.7%* | |
| Tax Rate | 26.0% | 24.5% | 22.8% | 23.3% | *(50) bp* | |

*Source: Company Filings, BTIG Research, FactSet*

**Exhibit 2 - 2Q26 and FY26 Guidance Relative to New and Prior BTIG Estimates**

| Metric | 2Q26 | | | FY26 | | | |
|---|---|---|---|---|---|---|---|
| | Guidance | New BTIG Est. | Prior BTIG Est. | New Guidance | Prior Guidance | New BTIG Est. | Prior BTIG Est. |
| Deliveries | **6,700-7,100** | 7,040 | 7,461 | **28,500-29,000** | **28,500-29,000** | 28,553 | 28,515 |
| ASP (000s) | **540-550K** | $550 | $538 | **550-560K** | **550-560k** | $557 | $555 |
| Gross Margin | **24.1-24.4%** | 24.2% | 24.7% | **24.5-25.0%** | **24.5-25.0%** | 24.5% | 24.7% |
| SG&A/Sales | | 9.5% | 9.5% | **9.5-9.7%** | **9.5-9.7%** | 9.7% | 9.7% |
| Avg Comm Count Growth | | 5.0% | 4.0% | **+3-5%** | **+3-5%** | 5.1% | 3.9% |
| Tax Rate | | 24.5% | 24.5% | **24.5%** | **24.5%** | 24.2% | 24.5% |
| OCF ($B) | | | | **$1.0** | **$1.0** | $1.0 | $1.1 |

*Source: Company Filings, BTIG Research*

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## Exhibit 3 - Estimate Revisions Table

| | 2025 | 2Q26E | | | 2026E | | | 2027E | | | Y/Y Growth | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | Actual | New | Prior | Change | New | Prior | Change | New | Prior | Change | 2026 | 2027 |
| **Revenue Inputs** | | | | | | | | | | | | |
| Deliveries | 29,189 | 7,040 | 7,461 | -6% | 28,553 | 28,515 | 0% | 27,634 | 27,451 | 1% | -2.2% | -3.2% |
| Average selling price | $573.7 | $550.2 | $538.0 | 2% | $556.8 | $554.6 | 0% | $566.1 | $568.9 | 0% | -2.9% | 1.7% |
| Average order price | $556.0 | $543.4 | $548.9 | -1% | $554.7 | $553.6 | 0% | $564.7 | $567.0 | 0% | -0.2% | 1.8% |
| **Margin Inputs** | | | | | | | | | | | | |
| Gross margin | 26.1% | 24.2% | 24.7% | (50) bp | 24.5% | 24.7% | (30) bp | 24.8% | 25.0% | (20) bp | (160) bp | 30 bp |
| SG&A/Sales | 9.4% | 9.5% | 9.5% | 0 bp | 9.7% | 9.7% | 0 bp | 9.8% | 9.6% | 10 bp | 30 bp | 10 bp |
| **Order Growth Inputs** | | | | | | | | | | | | |
| Avg community growth | 5.0% | 5.0% | 4.0% | 100 bp | 5.1% | 3.9% | 120 bp | 3.4% | 3.4% | 0 bp | 10 bp | (170) bp |
| Absorption growth | -9.0% | -3.0% | -4.0% | 100 bp | -4.4% | -3.4% | (100) bp | -2.1% | -2.4% | 30 bp | 460 bp | 230 bp |
| Order growth | -4.5% | 1.9% | -0.2% | 200 bp | 0.4% | 0.3% | 10 bp | 1.2% | 0.9% | 30 bp | 490 bp | 70 bp |
| **Income Statement** | | | | | | | | | | | | |
| Home sales revenue | 16,743.5 | 3,873.3 | 4,014.0 | -4% | 15,898.7 | 15,813.0 | 1% | 15,643.4 | 15,616.0 | 0% | -5.0% | -1.6% |
| Cost of sales | 12,376.8 | 2,936.5 | 3,023.2 | -3% | 12,007.7 | 11,901.9 | 1% | 11,770.4 | 11,718.8 | 0% | -3.0% | -2.0% |
| **Gross profit** | **4,366.7** | **936.7** | **990.8** | **-5%** | **3,891.0** | **3,911.1** | **-1%** | **3,873.0** | **3,897.2** | **-1%** | **-10.9%** | **-0.5%** |
| SG&A | 1,573.9 | 369.8 | 383.3 | -4% | 1,539.8 | 1,534.1 | 0% | 1,526.8 | 1,503.0 | 2% | -2.2% | -0.8% |
| **Home sales operating income** | **2,792.8** | **566.9** | **607.6** | **-7%** | **2,351.2** | **2,377.1** | **-1%** | **2,346.2** | **2,394.2** | **-2%** | **-15.8%** | **-0.2%** |
| Other expense, net | 73.6 | (6.9) | (7.0) | -2% | (31.2) | (27.9) | 12% | (27.7) | (27.7) | 0% | -142.4% | -11.2% |
| **Homebuilding pre-tax income** | **2,719.2** | **573.8** | **614.6** | **-7%** | **2,382.4** | **2,404.9** | **-1%** | **2,373.9** | **2,421.9** | **-2%** | **-12.4%** | **-0.4%** |
| **Financial services pre-tax income** | **156.8** | **34.9** | **39.5** | **-12%** | **127.1** | **152.4** | **-17%** | **143.9** | **150.4** | **-4%** | **-18.9%** | **13.2%** |
| **Total pre-tax income** | **2,876.0** | **608.7** | **654.1** | **-7%** | **2,509.5** | **2,557.4** | **-2%** | **2,517.8** | **2,572.3** | **-2%** | **-12.7%** | **0.3%** |
| Income tax expense | 692.6 | 149.1 | 160.2 | -7% | 607.1 | 626.6 | -3% | 616.9 | 630.2 | -2% | -12.3% | 1.6% |
| **Net income** | **2,183.3** | **459.6** | **493.8** | **-7%** | **1,902.4** | **1,930.8** | **-1%** | **1,900.9** | **1,942.1** | **-2%** | **-12.9%** | **-0.1%** |
| **Diluted EPS** | **$10.94** | **$2.40** | **$2.58** | **-7%** | **$10.01** | **$10.13** | **-1%** | **$10.45** | **$10.64** | **-2%** | **-8.5%** | **4.4%** |

*Source: Company Filings, BITG Research*

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| PULTEGROUP, INC. (PHM)<br>FISCAL YEAR ENDS DECEMBER<br>INCOME STATEMENT ($M) | 2023<br>CY | Mar<br>Q1 | Jun<br>Q2 | Sep<br>Q3 | Dec<br>Q4 | 2024<br>CY | Mar<br>Q1 | Jun<br>Q2 | Sep<br>Q3 | Dec<br>Q4 | 2025<br>CY | Mar<br>Q1 | Jun<br>Q2E | Sep<br>Q3E | Dec<br>Q4E | 2026<br>CYE | Mar<br>Q1E | Jun<br>Q2E | Sep<br>Q3E | Dec<br>Q4E | 2027<br>CYE |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Home Sales Revenue | 15,598.7 | 3,819.6 | 4,448.2 | 4,343.2 | 4,707.5 | 17,318.5 | 3,749.3 | 4,268.0 | 4,248.4 | 4,477.9 | 16,743.5 | 3,307.5 | 3,873.3 | 4,278.9 | 4,439.0 | 15,898.7 | 2,793.0 | 3,778.3 | 4,346.1 | 4,726.1 | 15,643.4 |
| Land Sales Revenue | 142.1 | 37.2 | 39.8 | 19.3 | 99.1 | 195.4 | 52.6 | 34.6 | 53.2 | 39.4 | 179.8 | 29.3 | 38.7 | 42.8 | 44.4 | 155.2 | 27.9 | 37.8 | 43.5 | 47.3 | 156.4 |
| **Total Homebuilding Revenue** | **15,740.8** | **3,856.8** | **4,488.0** | **4,362.5** | **4,806.6** | **17,514.0** | **3,801.8** | **4,302.6** | **4,301.5** | **4,517.3** | **16,923.3** | **3,336.8** | **3,912.0** | **4,321.6** | **4,483.4** | **16,053.9** | **2,820.9** | **3,816.0** | **4,389.5** | **4,773.3** | **15,799.8** |
| Cost of Home Sales | 10,906.0 | 2,667.5 | 3,089.5 | 3,061.6 | 3,381.7 | 12,200.2 | 2,692.6 | 3,086.4 | 3,102.3 | 3,373.3 | 12,254.7 | 2,475.3 | 2,905.5 | 3,201.6 | 3,299.6 | 11,882.1 | 2,084.6 | 2,822.9 | 3,238.9 | 3,498.8 | 11,645.3 |
| Cost of Land Sales | 124.6 | 37.0 | 38.9 | 25.3 | 88.7 | 189.9 | 51.0 | 30.5 | 48.1 | 36.5 | 166.0 | 27.1 | 35.8 | 39.6 | 41.1 | 143.6 | 25.8 | 34.9 | 40.2 | 43.7 | 144.7 |
| Capitalized Interest | 124.2 | 21.6 | 28.0 | 29.7 | 32.2 | 111.5 | 26.5 | 29.0 | 31.2 | 35.4 | 122.1 | 24.9 | 31.0 | 34.2 | 35.5 | 125.6 | 22.3 | 30.2 | 34.8 | 37.8 | 125.1 |
| Inventory & Lot Option Charges | 45.1 | 4.0 | 3.7 | 4.7 | 0.0 | 12.4 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 2.0 | 3.0 | 3.0 | 8.0 | 2.0 | 2.0 | 3.0 | 3.0 | 10.0 |
| Homebuilding Cost of Sales | 11,199.9 | 2,730.1 | 3,160.0 | 3,121.3 | 3,502.6 | 12,514.1 | 2,770.1 | 3,145.9 | 3,181.6 | 3,445.2 | 12,542.8 | 2,527.3 | 2,974.4 | 3,278.4 | 3,379.2 | 12,159.3 | 2,134.8 | 2,890.1 | 3,316.9 | 3,583.4 | 11,925.1 |
| **Home Sales Gross Profit** | **4,540.9** | **1,126.7** | **1,328.0** | **1,241.2** | **1,304.0** | **4,999.9** | **1,031.8** | **1,156.7** | **1,119.9** | **1,072.1** | **4,380.5** | **809.5** | **937.6** | **1,043.2** | **1,104.2** | **3,894.6** | **686.1** | **925.9** | **1,072.7** | **1,190.0** | **3,874.7** |
| Selling, General, and Administrative Expenses | 1,312.6 | 357.6 | 361.1 | 406.9 | 195.6 | 1,321.3 | 393.3 | 390.5 | 400.7 | 389.5 | 1,573.9 | 380.3 | 369.8 | 403.6 | 386.1 | 1,539.8 | 349.1 | 379.7 | 401.2 | 396.9 | 1,526.8 |
| **Home Sales Operating Income** | **3,228.2** | **769.1** | **966.8** | **834.3** | **1,108.4** | **3,678.6** | **638.4** | **766.2** | **719.3** | **682.7** | **2,806.5** | **429.2** | **567.8** | **639.7** | **718.1** | **2,354.8** | **337.0** | **546.3** | **671.5** | **793.1** | **2,347.9** |
| Other, Net | (87.5) | (58.6) | (19.2) | (16.9) | (23.7) | (118.4) | (6.9) | 0.6 | (4.2) | 97.8 | 87.4 | (7.6) | (6.0) | (7.0) | (7.0) | (27.6) | (6.0) | (6.0) | (7.0) | (7.0) | (26.0) |
| **Home Sales Pre-Tax Income** | **3,315.8** | **827.7** | **986.0** | **851.3** | **1,132.1** | **3,797.0** | **645.3** | **765.6** | **723.4** | **584.9** | **2,719.2** | **436.8** | **573.8** | **646.7** | **725.1** | **2,382.4** | **343.0** | **552.3** | **678.5** | **800.1** | **2,373.9** |
| **Financial Services** | | | | | | | | | | | | | | | | | | | | | |
| Financial Services Revenue | 320.8 | 92.4 | 111.7 | 113.8 | 115.1 | 433.0 | 90.8 | 101.2 | 103.3 | 93.4 | 388.7 | 71.7 | 85.2 | 94.1 | 93.2 | 344.3 | 61.4 | 83.1 | 95.6 | 104.4 | 344.6 |
| Financial Services Expenses | 187.3 | 51.4 | 49.3 | 58.9 | 64.5 | 224.1 | 55.0 | 59.6 | 58.9 | 58.4 | 231.9 | 59.2 | 50.3 | 56.5 | 51.3 | 217.2 | 36.9 | 49.0 | 57.4 | 57.4 | 200.7 |
| Other | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| **Fin Svcs Pre-tax Income** | **133.5** | **41.0** | **62.3** | **54.9** | **50.7** | **208.9** | **35.9** | **41.5** | **44.4** | **35.0** | **156.8** | **12.6** | **34.9** | **37.7** | **41.9** | **127.1** | **24.6** | **34.1** | **38.2** | **47.0** | **143.9** |
| Income Taxes | 846.9 | 205.7 | 239.2 | 208.3 | 269.5 | 922.6 | 158.4 | 198.7 | 182.0 | 153.6 | 692.6 | 102.4 | 149.1 | 167.7 | 187.9 | 607.1 | 90.1 | 143.7 | 175.6 | 207.5 | 616.9 |
| **Net Income** | **2,602.4** | **663.0** | **809.1** | **697.9** | **913.2** | **3,083.3** | **522.7** | **608.5** | **585.8** | **466.3** | **2,183.3** | **347.0** | **459.6** | **516.7** | **579.2** | **1,902.4** | **277.5** | **442.7** | **541.1** | **639.6** | **1,900.9** |
| **Diluted EPS** | **$11.72** | **$3.10** | **$3.83** | **$3.35** | **$4.43** | **$14.69** | **$2.57** | **$3.03** | **$2.96** | **$2.38** | **$10.94** | **$1.79** | **$2.40** | **$2.73** | **$3.10** | **$10.01** | **$1.50** | **$2.42** | **$2.99** | **$3.57** | **$10.45** |
| **Diluted EPS ex Extraordinary Items** | **$11.28** | **$2.87** | **$3.60** | **$3.35** | **$3.50** | **$13.31** | **$2.57** | **$3.03** | **$2.96** | **$2.70** | **$11.25** | **$1.79** | **$2.40** | **$2.73** | **$3.10** | **$10.01** | **$1.50** | **$2.42** | **$2.99** | **$3.57** | **$10.45** |
| Diluted Shares Outstanding | 221.2 | 213.5 | 211.2 | 208.5 | 206.2 | 209.8 | 203.7 | 200.7 | 198.1 | 195.8 | 199.6 | 193.4 | 191.3 | 189.0 | 186.8 | 190.1 | 184.9 | 183.0 | 181.0 | 179.0 | 182.0 |
| Homebuilding EBIAT (35% Tax Rate pre-1Q18) | 2,595.4 | 648.2 | 782.7 | 678.5 | 899.0 | 3,008.3 | 515.6 | 599.1 | 575.8 | 466.5 | 2,157.0 | 356.5 | 456.6 | 514.1 | 574.3 | 1,901.3 | 275.9 | 439.8 | 538.5 | 632.6 | 1,886.8 |
| EBITDA | 3,805.4 | 894.8 | 1,113.9 | 977.8 | 1,254.2 | 4,240.7 | 775.3 | 893.2 | 861.9 | 840.5 | 3,370.9 | 530.7 | 664.3 | 743.1 | 827.1 | 2,765.2 | 414.5 | 641.1 | 776.0 | 909.5 | 2,741.1 |
| **Homebuilding Margins** | | | | | | | | | | | | | | | | | | | | | |
| Gross Margin | 29.3% | 29.6% | 29.9% | 28.8% | 27.5% | 28.9% | 27.5% | 27.0% | 26.2% | 23.9% | 26.1% | 24.4% | 24.2% | 24.4% | 24.9% | 24.5% | 24.6% | 24.5% | 24.7% | 25.2% | 24.8% |
| Gross Margin ex charges and interest | 30.1% | 30.2% | 30.5% | 29.5% | 28.2% | 29.6% | 28.2% | 27.7% | 27.0% | 24.7% | 26.8% | 25.2% | 25.0% | 25.2% | 25.7% | 25.3% | 25.4% | 25.3% | 25.5% | 26.0% | 25.6% |
| SG&A/Sales Ratio | 8.4% | 9.4% | 8.1% | 9.4% | 4.2% | 7.6% | 10.5% | 9.1% | 9.4% | 8.7% | 9.4% | 11.5% | 9.5% | 9.4% | 8.7% | 9.7% | 12.5% | 10.0% | 9.2% | 8.4% | 9.8% |
| Operating Margin | 20.5% | 19.9% | 21.5% | 19.1% | 23.1% | 21.0% | 16.8% | 17.8% | 16.7% | 15.1% | 16.6% | 12.9% | 14.5% | 14.8% | 16.0% | 14.7% | 11.9% | 14.3% | 15.3% | 16.6% | 14.9% |
| Pre-Tax Margin | 21.5% | 22.0% | 22.8% | 20.2% | 24.0% | 22.3% | 17.5% | 18.3% | 17.4% | 13.4% | 16.6% | 13.2% | 15.2% | 15.5% | 16.8% | 15.3% | 12.8% | 15.0% | 16.0% | 17.4% | 15.6% |
| Tax Rate | 24.6% | 23.7% | 22.8% | 23.0% | 22.8% | 23.0% | 23.3% | 24.6% | 23.7% | 24.8% | 24.1% | 22.8% | 24.5% | 24.5% | 24.5% | 24.2% | 24.5% | 24.5% | 24.5% | 24.5% | 24.5% |
| **YOY Growth Rate** | | | | | | | | | | | | | | | | | | | | | |
| Homebuilding Revenue | 0.3% | 9.6% | 9.6% | 11.1% | 14.5% | 11.3% | (1.4)% | (4.1)% | (1.4)% | (6.0)% | (3.4)% | (12.2)% | (9.1)% | 0.5% | (0.8)% | (5.1)% | (15.5)% | (2.5)% | 1.6% | 6.5% | (1.6)% |
| Homebuilding Gross Profit | (1.6)% | 11.0% | 10.1% | 8.4% | 11.0% | 10.1% | (8.4)% | (12.9)% | (9.8)% | (17.8)% | (12.4)% | (21.5)% | (18.9)% | (6.9)% | 3.0% | (11.1)% | (15.2)% | (1.2)% | 2.8% | 7.8% | (0.5)% |
| Homebuilding Operating Income | (0.1)% | 13.4% | 8.4% | 5.3% | 27.9% | 14.0% | (17.0)% | (20.7)% | (13.8)% | (38.4)% | (23.7)% | (32.8)% | (25.9)% | (11.1)% | 5.2% | (16.1)% | (21.5)% | (3.8)% | 5.0% | 10.4% | (0.3)% |
| Homebuilding Pre-Tax Income | 0.2% | 20.3% | 8.6% | 4.2% | 25.4% | 14.5% | (22.0)% | (22.4)% | (15.0)% | (48.3)% | (28.4)% | (32.3)% | (25.1)% | (10.6)% | 24.0% | (12.4)% | (21.5)% | (3.8)% | 4.9% | 10.3% | (0.4)% |
| Financial Services Pre-Tax Income | 1.9% | 194.8% | 37.2% | 81.3% | 15.6% | 56.5% | (12.5)% | (33.3)% | (19.2)% | (30.9)% | (25.0)% | (64.9)% | (15.9)% | (15.1)% | 19.8% | (18.9)% | 95.3% | (2.5)% | 1.6% | 12.0% | 13.2% |
| Diluted EPS | 6.5% | 31.6% | 19.2% | 15.5% | 35.2% | 25.3% | (17.1)% | (20.9)% | (11.7)% | (46.2)% | (25.5)% | (30.1)% | (20.7)% | (7.6)% | 30.2% | (8.5)% | (16.3)% | 0.6% | 9.4% | 15.2% | 4.4% |
| Diluted EPS ex charges | 5.4% | 21.9% | 20.2% | 15.5% | 14.8% | 18.0% | (10.5)% | (15.8)% | (11.7)% | (23.0)% | (15.5)% | (30.1)% | (20.7)% | (7.6)% | 15.0% | (11.0)% | (16.3)% | 0.6% | 9.4% | 15.2% | 4.4% |
| **Operating Metrics - Units** | | | | | | | | | | | | | | | | | | | | | |
| Average Community Count | 906 | 931 | 934 | 957 | 960 | 946 | 961 | 994 | 1,002 | 1,014 | 993 | 1,043 | 1,044 | 1,042 | 1,044 | 1,043 | 1,074 | 1,075 | 1,079 | 1,086 | 1,079 |
| *YOY* | *11.8%* | *5.9%* | *3.4%* | *3.7%* | *4.5%* | *4.4%* | *3.2%* | *6.4%* | *4.7%* | *5.6%* | *5.0%* | *8.5%* | *5.0%* | *4.0%* | *3.0%* | *5.1%* | *3.0%* | *3.0%* | *3.5%* | *4.0%* | *3.4%* |
| Weekly Absorption | 0.61 | 0.69 | 0.63 | 0.57 | 0.49 | 0.59 | 0.62 | 0.55 | 0.51 | 0.49 | 0.54 | 0.59 | 0.53 | 0.49 | 0.45 | 0.52 | 0.58 | 0.51 | 0.48 | 0.46 | 0.51 |
| YOY | *9.8%* | *7.6%* | *(6.9)%* | *(4.0)%* | *(5.0)%* | *(2.0)%* | *(10.2)%* | *(13.0)%* | *(9.8)%* | *(1.3)%* | *(9.0)%* | *(4.7)%* | *(3.0)%* | *(4.0)%* | *(7.0)%* | *(4.4)%* | *(2.0)%* | *(5.0)%* | *(1.5)%* | *0.5%* | *(2.1)%* |
| Orders | 28,580 | 8,379 | 7,649 | 7,031 | 6,167 | 29,226 | 7,765 | 7,083 | 6,638 | 6,428 | 27,914 | 8,034 | 7,214 | 6,627 | 6,157 | 28,033 | 8,110 | 7,059 | 6,756 | 6,436 | 28,361 |
| *YOY* | *22.8%* | *13.9%* | *(3.7)%* | *(0.5)%* | *(0.8)%* | *2.3%* | *(7.3)%* | *(7.4)%* | *(5.6)%* | *4.2%* | *(4.5)%* | *3.5%* | *1.9%* | *(0.2)%* | *(4.2)%* | *0.4%* | *0.9%* | *(2.2)%* | *1.9%* | *4.5%* | *1.2%* |
| Deliveries | 28,603 | 7,095 | 8,097 | 7,924 | 8,103 | 31,219 | 6,583 | 7,256 | 7,529 | 7,821 | 29,189 | 6,102 | 7,040 | 7,617 | 7,795 | 28,553 | 5,170 | 6,823 | 7,565 | 8,076 | 27,634 |
| *YOY* | *(1.7)%* | *11.0%* | *7.7%* | *12.0%* | *6.4%* | *9.1%* | *(7.2)%* | *(10.4)%* | *(5.0)%* | *(3.5)%* | *(6.5)%* | *(7.3)%* | *(3.0)%* | *1.2%* | *(0.3)%* | *(2.2)%* | *(15.3)%* | *(3.1)%* | *(0.7)%* | *3.6%* | *(3.2)%* |
| Backlog | 12,146 | 13,430 | 12,982 | 12,089 | 10,153 | 10,153 | 11,335 | 10,779 | 9,888 | 8,495 | 8,495 | 10,427 | 10,601 | 9,612 | 7,974 | 7,974 | 10,914 | 11,150 | 10,341 | 8,701 | 8,701 |
| *YOY* | *(0.2)%* | *2.3%* | *(4.2)%* | *(10.8)%* | *(16.4)%* | *(16.4)%* | *(15.6)%* | *(17.0)%* | *(18.2)%* | *(16.3)%* | *(16.3)%* | *(8.0)%* | *(1.6)%* | *(2.8)%* | *(6.1)%* | *(6.1)%* | *4.7%* | *5.2%* | *7.6%* | *9.1%* | *9.1%* |
| *Pricing (000s)* | | | | | | | | | | | | | | | | | | | | | |
| Average Selling Price | $545.4 | $538.3 | $549.4 | $548.1 | $581.1 | $554.8 | $570.1 | $588.3 | $564.1 | $573.0 | $573.7 | $542.0 | $550.2 | $561.8 | $569.5 | $556.8 | $540.2 | $553.8 | $574.5 | $585.2 | $566.1 |
| *YOY* | *0.9%* | *(1.3)%* | *1.8%* | *(0.2)%* | *6.2%* | *1.7%* | *5.9%* | *7.1%* | *2.9%* | *(1.4)%* | *3.4%* | *(4.9)%* | *(6.5)%* | *(0.4)%* | *(0.6)%* | *(2.9)%* | *(0.3)%* | *0.6%* | *2.3%* | *2.8%* | *1.7%* |
| Average Order Price | $533.4 | $560.8 | $569.8 | $558.8 | $568.8 | $564.3 | $576.7 | $548.9 | $548.3 | $546.6 | $556.0 | $568.2 | $543.4 | $542.8 | $563.0 | $554.7 | $579.6 | $559.7 | $548.2 | $568.6 | $564.7 |
| *YOY* | *(8.6)%* | *8.8%* | *6.0%* | *3.2%* | *5.2%* | *5.8%* | *2.8%* | *(3.7)%* | *(1.9)%* | *(3.9)%* | *(1.5)%* | *(1.5)%* | *(1.0)%* | *(1.0)%* | *3.0%* | *(0.2)%* | *2.0%* | *3.0%* | *1.0%* | *1.0%* | *1.8%* |
| Average Backlog Price | $602.6 | $610.5 | $624.6 | $636.5 | $639.7 | $639.7 | $637.3 | $634.9 | $630.5 | $620.4 | $620.4 | $626.0 | $620.2 | $613.1 | $617.1 | $617.1 | $625.6 | $627.8 | $614.9 | $608.2 | $608.2 |
| *YOY* | *(4.4)%* | *0.5%* | *3.4%* | *6.1%* | *6.1%* | *6.1%* | *4.4%* | *1.6%* | *(0.9)%* | *(3.0)%* | *(3.0)%* | *(1.8)%* | *(2.3)%* | *(2.8)%* | *(0.5)%* | *(0.5)%* | *(0.1)%* | *1.2%* | *0.3%* | *(1.4)%* | *(1.4)%* |
| *Conversion* | | | | | | | | | | | | | | | | | | | | | |
| Backlog Conversion - Units | | 58.4% | 60.3% | 61.0% | 67.0% | | 64.8% | 64.0% | 69.8% | 79.1% | | 71.8% | 67.5% | 71.8% | 81.1% | | 64.8% | 62.5% | 67.8% | 78.1% | |
| *YOY* | | *5.9%* | *3.0%* | *8.8%* | *10.8%* | | *6.4%* | *3.7%* | *8.8%* | *12.1%* | | *7.0%* | *3.5%* | *2.0%* | *2.0%* | | *(7.0)%* | *(5.0)%* | *(4.0)%* | *(3.0)%* | |
| Backlog Conversion - Dollars | | 52.2% | 54.3% | 53.6% | 61.2% | | 57.7% | 59.1% | 62.1% | 71.8% | | 62.8% | 59.3% | 65.1% | 75.3% | | 56.8% | 55.3% | 62.1% | 74.3% | |
| *YOY* | | *6.7%* | *3.4%* | *6.1%* | *9.9%* | | *5.5%* | *4.8%* | *8.5%* | *10.6%* | | *5.0%* | *0.2%* | *3.0%* | *3.5%* | | *(6.0)%* | *(4.0)%* | *(3.0)%* | *(1.0)%* | |

*Sources: Company Filings, BTIG Research*

BTIG

| PULTEGROUP, INC. (PHM)<br>FISCAL YEAR ENDS DECEMBER<br>BALANCE SHEET ($M) | 2023<br>CY | Mar<br>Q1 | Jun<br>Q2 | Sep<br>Q3 | Dec<br>Q4 | 2024<br>CY | Mar<br>Q1 | Jun<br>Q2 | Sep<br>Q3 | Dec<br>Q4 | 2025<br>CY | Mar<br>Q1 | Jun<br>Q2E | Sep<br>Q3E | Dec<br>Q4E | 2026<br>CYE | Mar<br>Q1E | Jun<br>Q2E | Sep<br>Q3E | Dec<br>Q4E | 2027<br>CYE |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **ASSETS** | | | | | | | | | | | | | | | | | | | | | |
| Cash & Equivalents* | 1,806.6 | 1,719.6 | 1,392.9 | 1,397.7 | 1,613.3 | 1,613.3 | 1,235.7 | 1,234.2 | 1,451.5 | 1,980.9 | 1,980.9 | 1,807.0 | 1,248.9 | 740.9 | 1,496.7 | 1,496.7 | 1,054.3 | 827.6 | 829.0 | 1,189.7 | 1,189.7 |
| Inventories | 11,819.2 | 12,132.1 | 12,323.9 | 12,666.8 | 12,692.8 | 12,692.8 | 12,959.5 | 13,216.0 | 13,352.0 | 12,925.4 | 12,925.4 | 13,301.0 | 13,903.3 | 14,542.2 | 13,912.8 | 13,912.8 | 14,416.6 | 14,660.1 | 14,838.5 | 14,733.6 | 14,733.6 |
| Mortgage Loans | 516.1 | 570.8 | 569.4 | 556.7 | 629.6 | 629.6 | 642.8 | 581.6 | 486.1 | 613.7 | 613.7 | 509.3 | 509.3 | 509.3 | 509.3 | 509.3 | 509.3 | 509.3 | 509.3 | 509.3 | 509.3 |
| Deferred Tax Assets | 68.9 | 61.9 | 54.3 | 47.7 | 55.0 | 55.0 | 53.0 | 51.7 | 49.7 | 49.2 | 49.2 | 48.2 | 48.2 | 48.2 | 48.2 | 48.2 | 48.2 | 48.2 | 48.2 | 48.2 | 48.2 |
| Other Assets (Incl. Restricted Cash) | 1,755.2 | 1,889.1 | 2,083.4 | 2,168.5 | 2,257.8 | 2,257.8 | 2,332.7 | 2,393.8 | 2,403.4 | 2,412.7 | 2,412.7 | 2,465.3 | 2,472.8 | 2,480.3 | 2,487.7 | 2,487.7 | 2,495.2 | 2,502.6 | 2,510.1 | 2,517.6 | 2,517.6 |
| Intangibles | 121.1 | 122.7 | 120.2 | 117.7 | 115.2 | 115.2 | 112.9 | 110.6 | 108.3 | 66.6 | 66.6 | 65.2 | 65.2 | 65.2 | 65.2 | 65.2 | 65.2 | 65.2 | 65.2 | 65.2 | 65.2 |
| **Total Assets** | **16,087.1** | **16,496.2** | **16,544.1** | **16,955.1** | **17,363.8** | **17,363.8** | **17,336.5** | **17,587.8** | **17,851.0** | **18,048.4** | **18,048.4** | **18,196.0** | **18,247.6** | **18,386.0** | **18,519.8** | **18,519.8** | **18,588.8** | **18,613.0** | **18,800.2** | **19,063.4** | **19,063.4** |
| **LIABILITIES AND EQUITY** | | | | | | | | | | | | | | | | | | | | | |
| Payables | 619.0 | 575.1 | 651.6 | 704.7 | 728.0 | 728.0 | 682.1 | 712.9 | 731.1 | 724.9 | 724.9 | 688.5 | 724.1 | 728.8 | 671.7 | 671.7 | 704.4 | 722.1 | 748.0 | 676.8 | 676.8 |
| Customer Deposits | 675.1 | 698.8 | 654.4 | 597.8 | 512.6 | 512.6 | 541.5 | 520.5 | 470.7 | 387.8 | 387.8 | 466.6 | 468.5 | 451.9 | 380.1 | 380.1 | 466.6 | 468.5 | 451.9 | 399.1 | 399.1 |
| Accruals & Other | 1,947.8 | 1,969.2 | 1,841.0 | 1,940.6 | 1,855.7 | 1,855.7 | 1,759.5 | 1,658.0 | 1,795.5 | 1,786.8 | 1,786.8 | 1,810.9 | 1,714.6 | 1,696.8 | 1,728.2 | 1,728.2 | 1,743.2 | 1,651.8 | 1,634.8 | 1,728.2 | 1,728.2 |
| Financial Services Debt | 499.6 | 534.3 | 524.0 | 524.1 | 526.9 | 526.9 | 426.9 | 498.4 | 404.2 | 532.3 | 532.3 | 455.1 | 455.1 | 455.1 | 455.1 | 455.1 | 455.1 | 455.1 | 455.1 | 455.1 | 455.1 |
| Homebuilding Debt | 1,962.2 | 1,956.9 | 1,650.2 | 1,623.7 | 1,618.6 | 1,618.6 | 1,625.7 | 1,623.1 | 1,623.3 | 1,631.1 | 1,631.1 | 1,820.8 | 1,820.8 | 1,820.8 | 1,820.8 | 1,820.8 | 1,820.8 | 1,820.8 | 1,820.8 | 1,820.8 | 1,820.8 |
| **Total Liabilities** | **5,703.8** | **5,734.3** | **5,321.2** | **5,390.9** | **5,241.8** | **5,241.8** | **5,035.6** | **5,012.9** | **5,024.9** | **5,063.0** | **5,063.0** | **5,241.8** | **5,183.0** | **5,153.4** | **5,055.8** | **5,055.8** | **5,190.0** | **5,118.2** | **5,110.6** | **5,079.9** | **5,079.9** |
| **Equity** | **10,383.3** | **10,762.0** | **11,222.8** | **11,564.2** | **12,122.0** | **12,122.0** | **12,301.0** | **12,574.9** | **12,826.0** | **12,985.4** | **12,985.4** | **12,954.2** | **13,064.6** | **13,232.6** | **13,464.0** | **13,464.0** | **13,398.8** | **13,494.8** | **13,689.7** | **13,983.5** | **13,983.5** |
| **Total Liabilities & Equity** | **16,087.1** | **16,496.2** | **16,544.1** | **16,955.1** | **17,363.8** | **17,363.8** | **17,336.5** | **17,587.8** | **17,851.0** | **18,048.4** | **18,048.4** | **18,196.0** | **18,247.6** | **18,386.0** | **18,519.8** | **18,519.8** | **18,588.8** | **18,613.0** | **18,800.2** | **19,063.4** | **19,063.4** |
| **TBVPS** | **$47.86** | **$50.22** | **$52.98** | **$55.36** | **$58.76** | **$58.76** | **$60.32** | **$62.56** | **$64.71** | **$66.54** | **$66.54** | **$67.10** | **$68.44** | **$70.16** | **$72.24** | **$72.24** | **$72.63** | **$73.90** | **$75.82** | **$78.33** | **$78.33** |
| **CASH FLOW STATEMENT ($M)** | | | | | | | | | | | | | | | | | | | | | |
| **Cash Flow from Operations** | | | | | | | | | | | | | | | | | | | | | |
| Net Income | 2,602.4 | 663.0 | 809.1 | 697.9 | 913.2 | 3,083.3 | 522.8 | 608.5 | 585.8 | 501.6 | 2,218.7 | 347.0 | 459.6 | 516.7 | 579.2 | 1,902.4 | 277.5 | 442.7 | 541.1 | 639.6 | 1,900.9 |
| Addbacks | | | | | | | | | | | | | | | | | | | | | |
| D&A | 104.3 | 21.1 | 21.8 | 22.1 | 24.2 | 89.2 | 24.7 | 25.0 | 25.8 | 37.0 | 112.5 | 24.5 | 24.5 | 24.5 | 24.5 | 98.2 | 24.5 | 24.5 | 24.5 | 24.5 | 98.2 |
| Deferred Income Taxes | 43.1 | 37.4 | 51.9 | 26.7 | 35.1 | 151.1 | 20.4 | (0.6) | 32.1 | (41.1) | 10.8 | 9.3 | 0.0 | 0.0 | 0.0 | 9.3 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Other | 127.6 | (16.5) | 15.7 | 19.8 | 15.1 | 34.2 | 43.0 | 31.9 | 37.1 | 148.3 | 260.3 | 31.9 | 0.0 | 0.0 | 0.0 | 31.9 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Net (Increase)/Decrease In Inventories | (354.0) | (289.2) | (184.4) | (331.7) | 17.9 | (787.5) | (270.6) | (262.5) | (102.8) | 422.5 | (213.4) | (376.4) | (602.3) | (638.9) | 629.4 | (988.2) | (503.8) | (243.5) | (178.4) | 104.9 | (820.8) |
| Net (Increase)/Decrease In Other Assets | (129.7) | (162.9) | (186.8) | (61.8) | (191.5) | (603.0) | (85.1) | (42.2) | 67.8 | (218.5) | (278.0) | 67.7 | 0.0 | 0.0 | 0.0 | 67.7 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Net Increase/(Decrease) in Operating Liabilities | (196.9) | (13.1) | (109.9) | 82.9 | (246.3) | (286.5) | (121.0) | (72.7) | 32.5 | (78.6) | (239.7) | 55.7 | (58.8) | (29.6) | (97.6) | (130.3) | 134.1 | (71.8) | (7.6) | (30.7) | 24.1 |
| **Operating Cash Flow** | **2,196.8** | **239.8** | **417.5** | **455.9** | **567.6** | **1,680.8** | **134.2** | **287.5** | **678.4** | **771.1** | **1,871.2** | **159.8** | **(177.0)** | **(127.3)** | **1,135.5** | **990.9** | **(67.6)** | **152.0** | **379.6** | **738.4** | **1,202.4** |
| **Cash Flow from Investing** | | | | | | | | | | | | | | | | | | | | | |
| PP&E Expenditures, Net | (92.2) | (24.1) | (31.2) | (38.7) | (24.5) | (118.5) | (29.6) | (34.5) | (27.3) | (31.3) | (122.7) | (25.4) | (32.0) | (32.0) | (32.0) | (121.4) | (32.0) | (32.0) | (32.0) | (32.0) | (128.0) |
| Acquisitions | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Joint Ventures, Net | (36.9) | (2.8) | (8.1) | (3.4) | 38.4 | 24.1 | (10.1) | 35.1 | 2.3 | 15.0 | 42.3 | 0.5 | 0.0 | 0.0 | 0.0 | 0.5 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| **Investing Cash Flow** | **(129.1)** | **(26.9)** | **(39.3)** | **(42.1)** | **13.9** | **(94.5)** | **(39.7)** | **0.6** | **(24.9)** | **(16.3)** | **(80.4)** | **(24.9)** | **(32.0)** | **(32.0)** | **(32.0)** | **(120.9)** | **(32.0)** | **(32.0)** | **(32.0)** | **(32.0)** | **(128.0)** |
| **Financing** | | | | | | | | | | | | | | | | | | | | | |
| Net Change in Homebuilding Debt | (123.3) | (11.1) | (307.1) | (32.2) | (5.4) | (355.8) | (2.7) | (6.5) | 0.0 | (15.3) | (24.5) | 172.5 | 0.0 | 0.0 | 0.0 | 172.5 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Net Change in Financial Service Debt | (35.3) | 21.3 | (34.7) | (9.9) | (16.3) | (39.7) | (100.1) | 71.5 | (95.6) | 116.6 | (7.6) | (77.3) | 0.0 | 0.0 | 0.0 | (77.3) | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Stock Option Exercise | 0.0 | (17.6) | (0.0) | (0.8) | (0.1) | (18.6) | (23.4) | (11.9) | (0.5) | 11.5 | (24.3) | 0.0 | 0.3 | 0.1 | 0.5 | 0.9 | 5.0 | 0.5 | 0.5 | 0.5 | 6.5 |
| Share Repurchase | (1,012.0) | (245.8) | (314.2) | (320.0) | (320.0) | (1,200.0) | (300.0) | (300.0) | (300.0) | (300.0) | (1,200.0) | (308.2) | (300.0) | (300.0) | (300.0) | (1,208.2) | (300.0) | (300.0) | (300.0) | (300.0) | (1,200.0) |
| Dividends | (142.5) | (42.7) | (42.2) | (41.7) | (41.1) | (167.7) | (45.8) | (44.3) | (43.6) | (43.0) | (176.7) | (52.0) | (49.4) | (48.8) | (48.2) | (198.4) | (47.7) | (47.2) | (46.7) | (46.2) | (187.9) |
| **Financing Cash Flow** | **(1,313.0)** | **(296.0)** | **(698.3)** | **(404.6)** | **(382.9)** | **(1,781.8)** | **(472.3)** | **(296.6)** | **(441.2)** | **(225.6)** | **(1,435.7)** | **(300.2)** | **(349.1)** | **(348.7)** | **(347.7)** | **(1,345.8)** | **(342.7)** | **(346.7)** | **(346.2)** | **(345.7)** | **(1,381.4)** |
| Increase (Decrease) in Cash & Equivalents | 754.6 | (83.1) | (320.1) | 9.2 | 198.5 | (195.5) | (377.8) | (8.6) | 212.2 | 529.2 | 355.1 | (165.4) | (558.1) | (508.0) | 755.8 | (475.7) | (442.3) | (226.8) | 1.4 | 360.7 | (307.0) |
| Cash At Beginning of Period | 1,094.6 | 1,849.2 | 1,766.1 | 1,446.0 | 1,455.1 | 1,849.2 | 1,653.7 | 1,275.9 | 1,267.3 | 1,479.6 | 1,653.7 | 2,008.8 | 1,843.4 | 1,285.3 | 777.2 | 2,008.8 | 1,533.0 | 1,090.7 | 864.0 | 865.4 | 1,533.0 |
| **Cash At End of Period*** | **1,849.2** | **1,766.1** | **1,446.0** | **1,455.1** | **1,653.7** | **1,653.7** | **1,275.9** | **1,267.3** | **1,479.6** | **2,008.8** | **2,008.8** | **1,843.4** | **1,285.3** | **777.2** | **1,533.0** | **1,533.0** | **1,090.7** | **864.0** | **865.4** | **1,226.1** | **1,226.1** |
| **Ratios** | | | | | | | | | | | | | | | | | | | | | |
| **TTM EPS ex charges / TBVPS** | **26.2%** | **26.0%** | **25.9%** | **25.6%** | **25.1%** | **25.1%** | **23.4%** | **21.5%** | **20.0%** | **18.0%** | **18.0%** | **16.3%** | **15.0%** | **14.3%** | **14.6%** | **14.6%** | **13.9%** | **13.6%** | **13.7%** | **14.1%** | **14.1%** |
| TTM Return on Average Equity | 27.0% | 27.3% | 27.1% | 26.7% | 27.5% | 27.5% | 25.4% | 22.9% | 21.4% | 17.4% | 17.4% | 15.8% | 14.4% | 13.8% | 14.5% | 14.5% | 13.9% | 13.6% | 13.7% | 14.0% | 14.0% |
| TTM Return on Average Invested Capital | 23.1% | 23.5% | 23.6% | 23.5% | 24.4% | 24.4% | 22.8% | 20.8% | 19.6% | 16.0% | 16.0% | 14.6% | 13.4% | 12.8% | 13.4% | 13.4% | 12.8% | 12.6% | 12.7% | 12.9% | 12.9% |
| TTM Homebuilding Inventory Turns | 0.96x | 0.96x | 0.97x | 0.98x | 1.00x | 1.00x | 0.98x | 0.97x | 0.95x | 0.95x | 0.95x | 0.92x | 0.90x | 0.89x | 0.88x | 0.88x | 0.83x | 0.81x | 0.80x | 0.81x | 0.81x |
| Debt/Total Capitalization | 0.16x | 0.15x | 0.13x | 0.12x | 0.12x | 0.12x | 0.12x | 0.11x | 0.11x | 0.11x | 0.11x | 0.12x | 0.12x | 0.12x | 0.12x | 0.12x | 0.12x | 0.12x | 0.12x | 0.12x | 0.12x |
| Inventory & Cash to Debt | 6.94x | 7.08x | 8.31x | 8.66x | 8.84x | 8.84x | 8.73x | 8.90x | 9.12x | 9.14x | 9.14x | 8.30x | 8.32x | 8.39x | 8.46x | 8.46x | 8.50x | 8.51x | 8.60x | 8.75x | 8.75x |

*Source: Company Filings, BTIG Research*

BTIG

## BTIG Covered Companies Mentioned in this Report

PulteGroup, Inc. (PHM, Neutral, Closing Price: $127.56)

BTIG

# Appendix: Analyst Certification and Other Important Disclosures

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I, Ryan Gilbert, hereby certify that the views about the companies and securities discussed in this report are accurately expressed and that I have not received and will not receive direct or indirect compensation in exchange for expressing specific recommendations or views in this report.

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**Current Rating Distribution (as of April 23, 2026):**

| Coverage Universe | Count | Percent | Inv. Banking Relationships | Count | Percent |
|---|---|---|---|---|---|
| Buy | 360 | 67.2% | Buy | 106 | 29.4% |
| Neutral | 173 | 32.3% | Neutral | 40 | 23.1% |
| Sell | 3 | 0.6% | Sell | 0 | 0.0% |

For purposes of FINRA ratings distribution rules, BTIG's stock ratings of Buy, Neutral and Sell fall into Buy, Hold and Sell categories, respectively.

## Company Valuation and Risk Disclosures

### PulteGroup, Inc. (PHM, Neutral)

**Valuation:** We value PHM at 2.0x 1Q26 TBVPS of $67.10. The multiple is based on a forward ROE of 14%, COE of 9%, and a 0.0x structural adjustment which reflects our view that PHM's balanced operating strategy should drive a structurally higher ROE than 15% over the longer term. BTIG does not provide price targets on Neutral-rated stocks.

**Risks:**

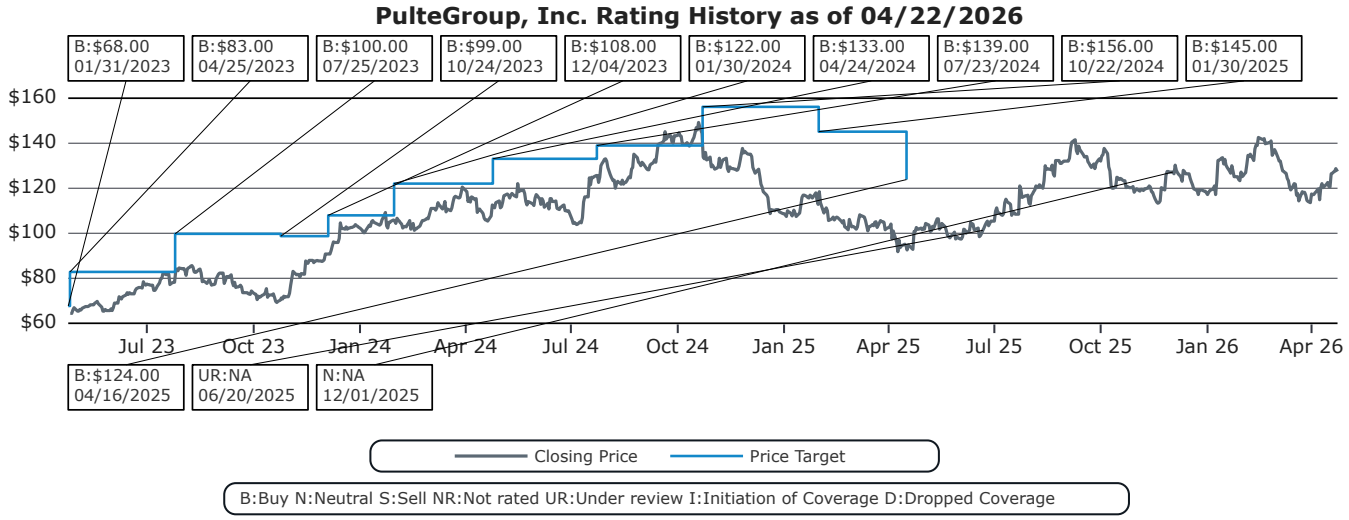
Downside risks include:

- Slowing US GDP growth, which could reduce housing demand and negatively impact PHM's performance and share price.
- Rising interest rates leading to higher mortgage rates, reducing affordability and dampening demand for PHM's homes.

- Increased competition from national, regional, and alternative housing providers, potentially pressuring PHM's revenue, margins, and earnings. Continued growth in housing inventory across key markets, creating headwinds for demand, pricing, and PHM's sales pace and profitability.
- Unfavorable changes in federal government policy, including higher tariffs, restrictive immigration, or unsupportive production regulations, which could challenge PHM's operations and financial results.

Upside risks include:

- Stronger-than-expected US GDP growth boosting housing demand and benefiting PHM's business and shares.
- Declines in interest rates resulting in lower mortgage rates, improving affordability and potentially increasing demand for PHM's homes.
- Decreased competition in PHM's markets, supporting higher revenue, margins, and earnings.
- Declining housing inventory enhancing demand, sales pace, and profitability for PHM.
- Favorable federal policy actions, such as reduced tariffs, expanded immigration, or supportive homebuilding measures, positively impacting PHM's operations.




## Company–Specific Regulatory Disclosures

BTIG LLC expects to receive or intends to seek compensation for investment banking services in the next 3 months from: PulteGroup, Inc. (PHM)

BTIG LLC has received compensation for investment banking services in the past 12 months from: PulteGroup, Inc. (PHM)

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# PulteGroup, Inc. (PHM)

1Q26 Recap: Raising our Financial Estimates on Higher Volume & Consumer Resiliency

**MARKET OUTPERFORM**
Price: $127.56
Price Target: $145.00

**James McCanless III**
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(615) 474-9325

## INVESTMENT HIGHLIGHTS

- **Current conditions seem to have improved from March to April.** Pulte saw seasonally normal traffic and demand in 1Q26 until the war broke out. Traffic apparently held up through March and has shown seasonally normal improvement thus far in April. Order growth by buyer segment in 1Q26 was +3% y/y for move-up buyers, +11% y/y for active adult, and -1% for first-time buyers. Management did not address the topic on today's call, but the growth in Del Webb community count along with more resilient active adult demand likely contributed to the active adult leadership in 1Q26.
- **PHM indicated the shift back to a build to order model will not take forever on the 1Q26 call.** When asked on the 1Q26 call, management indicated that the transition to the targeted 60% build to order (BTO)/40% spec home range might take as long as 1Q27, but Pulte does not plan to dawdle based on management's call commentary. Pulte's BTO percentage was 43% in 1Q26 versus 40% in FY25. Pulte is not the only builder making this shift, and we agree with management's sentiment in this regard. We believe the lock in effect on resale homes, mortgage rates above the COVID-19 lows, and reduced cycle times versus last year and especially three years ago suggest to us that selling for margin over volume may be a more efficient strategy for Pulte and the move up builders.
- **FY26 guidance reaffirmed.** Pulte reaffirmed the FY26 guidance on the 1Q26 call (see page 2) but did note that FY26 gross margins are likely to be at the low end. Pulte sold some finished specs during 1Q26 that will not close until 2Q26. Management also indicated that finished specs in California and Washington have been problematic and will be a focus area near term. We believe those two factors and the guidance for a sequentially lower gross margin in 2Q are the reasons management talked about FY26 gross margins likely hitting the low end of the range.
- **EPS estimate revisions.** We are raising our FY26E/FY27E EPS to $10.15/$11.50 from $9.19/$10.43. At the same time, we are taking management at their word about a rapid reset on the land base and eliminating spec homes. We expect the BTO shift and concurrent finished spec disposition may weigh on near-term gross margins. Consequently, we moved our FY26 gross margin estimate to 24.5%, the low end of the guidance range, from 24.4%. Pulte's F2Q26 gross margin guidance range of 24.1% to 24.4% was in line with our unchanged F2Q26 estimate of 24.3%. We raised our FY26E/FY27E closings to 28.9k/30.1k from 27.1k/28.4k. Thus far in 1Q26 earnings, order volumes and consumer resiliency have generally been better than we expected. We believe there still may be downside risk to industry shipments from war, affordability, etc., but we are taking a more bullish approach to volume at this point.
- **Valuation.** We maintain our Market Outperform rating. Our $145 price target is a 2.0x multiple on our FY26E tangible book value (TBV) per share estimate of $71.33/share, which is within our FY26 price/TBV valuation range of 1.0x to 2.0x. At current levels, PHM trades at 1.8x our FY26E TBV of $71.33, versus the group average of 1.1x.

## MARKET DATA

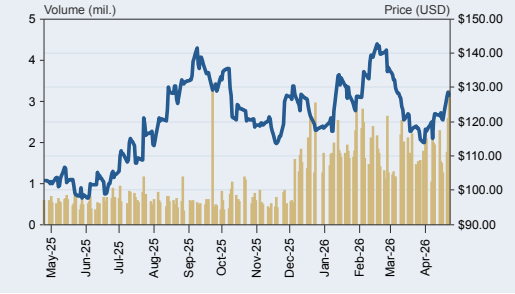
| | |
|---|---|
| Price: | $127.56 |
| 52-Week Range: | $94.93 - $144.49 |
| Shares Out. (M): | 193.4 |
| Market Cap ($M): | $24,670.1 |

*Source: Company reports and Citizens JMP Securities, LLC*

| FY DEC | | 2025A | 2026E | 2027E |
|---|---|---|---|---|
| Revenue ($M) | 1Q | $3,892.7 | $3,408.6A | $3,551.1 |
| | 2Q | $4,403.8 | $3,910.0 | $4,177.3 |
| | 3Q | $4,404.8 | $4,563.7 | $4,625.8 |
| | 4Q | $4,610.7 | $4,693.2 | $5,163.4 |
| | FY | $17,312.0 | $16,575.5 | $17,517.6 |
| EPS | 1Q | $2.57 | $1.79A | $1.92 |
| | 2Q | $3.03 | $2.27 | $2.67 |
| | 3Q | $2.96 | $2.97 | $3.20 |
| | 4Q | $2.56 | $3.15 | $3.76 |
| | FY | $11.12 | $10.15 | $11.50 |
| | P/E | 11.5x | 12.6x | 11.1x |
| | Previous FY | NC | $9.19 | $10.43 |

*Source: Company reports and Citizens JMP Securities, LLC*

## STOCK PRICE PERFORMANCE




**FOR DISCLOSURE AND FOOTNOTE INFORMATION, REFER TO THE FACTS AND DISCLOSURES SECTION.**
This report should be read in conjunction with important disclosure information, including an attestation under Regulation Analyst certification.

## PULTEGROUP FINANCIAL GUIDANCE AND 1Q26 RESULTS GRID

Pulte provided 1Q26 and FY26 guidance on the 4Q25 conference call dated 01/29/26. Pulte reaffirmed the FY26 guidance on the 1Q26 call dated 04/23/26 and provided F2Q26 guidance.

**F2Q26 guidance**

- 6.7k to 7.1k closings
- $540k to $550k average closing price
- 3% to 5% community growth
- 24.1% to 24.4% gross margin

**F1Q26 guidance**

- 5.7k to 6.1k closings
- $550k to $560k average closing price
- 3% to 5% community growth
- 24.5% to 25.0% gross margin
- 11.5% SG&A/sales ratio

**FY26 guidance**

- 28.5k to 29.0k closings
- 24.5% to 25.0% gross margin, expected at the low end per management on the 1Q26 call
- SG&A/sales ratio of 9.5% to 9.7%
- $550k to $560k average closing price
- Community count growth of 3% to 5%
- Operating cash flow of $1.0 billion

*Source: Company filings*

**FIGURE 1. PHM F1Q26 Results**

| | F1Q25A | F1Q26E | Citizens F1Q26E | Consensus F1Q26E | Actual vs Last Year | Citizens vs Last Year | Consensus vs Last Year |
|---|---|---|---|---|---|---|---|
| **Total Revenues (millions of $)** | 3,892.7 | 3,408.6 | 3,320.1 | 3,400.0 | -12.4% | -14.7% | -12.7% |
| **Average Selling Price ($)** | 570,000 | 542,000 | 555,238 | 556,710 | -4.9% | -2.6% | -2.3% |
| **EPS ($)** | 2.57 | 1.79 | 1.67 | 1.84 | -30.4% | -35.0% | -28.4% |
| **HB Gross Margin, net impairments** | 27.5% | 24.4% | 24.0% | 24.9% | NM | NM | NM |
| **HB SG&A Margin** | 10.5% | 11.5% | 11.8% | N/A | NM | NM | NM |
| **Closings (units)** | 6,583 | 6,102 | 5,777 | 5,922 | -7.3% | -12.2% | -10.0% |
| **Monthly sales absorption** | 2.7 | 2.6 | 2.3 | N/A | -4.7% | -14.6% | NM |
| **Orders (units)** | 7,765 | 8,034 | 6,989 | 8,127 | 3.5% | -10.0% | 4.7% |
| **Backlog (units)** | 11,335 | 10,427 | 9,707 | 10,703 | -8.0% | -14.4% | -5.6% |
| **Average Backlog Price ($)** | 637,254 | 626,031 | 621,323 | 610,790 | -1.8% | -2.5% | -4.2% |

*Source: Citizens JMP Securities, LLC estimates, FactSet, Company filings*

## FIGURE 2. PulteGroup Assumptions

| PULTEGROUP (PHM) ASSUMPTIONS | F1Q25 | F2Q25 | F3Q25 | F4Q25 | FY25 | F1Q26 | F2Q26E | F3Q26E | F4Q26E | FY26E | FY27E |
|---|---|---|---|---|---|---|---|---|---|---|---|
| Units closed | 6,583 | 7,639 | 7,529 | 7,821 | 29,572 | 6,102 | 6,934 | 7,870 | 8,024 | 28,930 | 30,107 |
| Unit closing growth | -7.2% | -5.7% | -5.0% | -3.5% | -5.3% | -7.3% | -9.2% | 4.5% | 2.6% | -2.2% | 4.1% |
| Average sales price per unit | 569,538 | 558,709 | 564,268 | 573,000 | 566,195 | 542,000 | 545,899 | 562,525 | 567,465 | 555,589 | 564,266 |
| ASP growth ($) | 5.8% | 1.7% | 2.9% | -1.4% | 2.1% | -4.8% | -2.3% | -0.3% | -1.0% | -1.9% | 1.6% |
| Orders | 7,765 | 7,083 | 6,638 | 6,428 | 27,914 | 8,034 | 7,437 | 6,970 | 6,749 | 29,190 | 30,447 |
| Order growth | -7.3% | -7.4% | -5.6% | 4.2% | -4.5% | 3.5% | 5.0% | 5.0% | 5.0% | 4.6% | 4.3% |
| Backlogs | 11,335 | 10,779 | 9,888 | 8,495 | 8,495 | 10,427 | 10,930 | 10,030 | 8,755 | 8,755 | 9,096 |
| YoY backlog growth | -15.6% | -17.0% | -18.2% | -16.3% | -16.3% | -8.0% | 1.4% | 1.4% | 3.1% | 3.1% | 3.9% |
| Backlog ASP ($) | 637,254 | 634,868 | 630,517 | 620,378 | 620,378 | 626,031 | 628,519 | 630,517 | 630,925 | 630,925 | 637,234 |
| Backlog ASP growth | 4.4% | 1.6% | -0.9% | -3.0% | -3.0% | -1.8% | -1.0% | 0.0% | 1.7% | 1.7% | 1.0% |
| Absorption rate | 64.8% | 67.4% | 69.8% | 79.1% | 291.3% | 71.8% | 66.5% | 72.0% | 80.0% | 340.6% | 343.9% |
| Homebuilding gross margin (ex-impairment) | 27.5% | 27.0% | 26.2% | 24.7% | 26.3% | 24.4% | 24.3% | 24.5% | 24.8% | 24.5% | 24.8% |
| Homebuilding SG&A margin | 10.5% | 9.1% | 9.4% | 8.7% | 9.4% | 11.5% | 10.2% | 8.8% | 8.7% | 9.7% | 9.7% |
| Homebuilding operating margin | 17.0% | 18.0% | 16.9% | 16.0% | 17.0% | 13.0% | 14.1% | 15.7% | 16.1% | 14.9% | 15.2% |
| Financial services revenues | 2.4% | 2.4% | 2.4% | 2.1% | 2.3% | 2.2% | 2.4% | 2.3% | 2.3% | 2.3% | 2.3% |
| Financial services margin | 39.5% | 41.1% | 43.0% | 37.5% | 40.3% | 17.5% | 41.1% | 41.0% | 41.0% | 36.4% | 36.1% |
| Community count | 961 | 994 | 1,002 | 1,014 | 1,014 | 1,043 | 1,048 | 1,051 | 1,061 | 1,061 | 1,083 |
| YoY community count growth | 3.2% | 6.4% | 4.7% | 5.6% | 5.6% | 8.5% | 5.5% | 4.9% | 4.7% | 4.7% | 2.0% |
| Closings per community | 6.9 | 7.7 | 7.5 | 7.7 | 29.2 | 5.9 | 6.6 | 7.5 | 7.6 | 27.3 | 27.8 |
| Orders per community | 8.1 | 7.1 | 6.6 | 6.3 | 27.5 | 7.7 | 7.1 | 6.6 | 6.4 | 27.5 | 28.1 |
| Backlogs per community | 11.8 | 10.8 | 9.9 | 8.4 | 8.4 | 10.0 | 10.4 | 9.5 | 8.2 | 8.2 | 8.4 |

*Source: Citizens JMP Securities, LLC estimates, company filings*

## FIGURE 3. PulteGroup Income Statement

| **PulteGroup (PHM), FY ends Dec.** | | | | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|
| **Income statement, amounts in millions of $ except per share amounts** | | | | | | | | | | | |
| **HOUSING** | **F1Q25** | **F2Q25** | **F3Q25** | **F4Q25** | **FY25** | **F1Q26** | **F2Q26E** | **F3Q26E** | **F4Q26E** | **FY26E** | **FY27E** |
| Home sales | 3,749.3 | 4,268.0 | 4,248.4 | 4,477.9 | 16,743.5 | 3,307.5 | 3,785.2 | 4,426.9 | 4,553.5 | 16,073.2 | 16,988.6 |
| Cost of goods sold | 2,719.1 | 3,115.5 | 3,133.5 | 3,373.3 | 12,341.4 | 2,500.2 | 2,867.3 | 3,342.3 | 3,424.2 | 12,134.0 | 12,770.3 |
| Homebuilding gross profit | 1,030.2 | 1,152.5 | 1,114.8 | 1,104.6 | 4,402.1 | 807.4 | 917.9 | 1,084.6 | 1,129.3 | 3,939.1 | 4,218.2 |
| | | | | | | | | | | | |
| Land/lot revenues | 52.6 | 34.6 | 53.2 | 39.4 | 179.8 | 29.3 | 35.0 | 35.0 | 35.0 | 134.3 | 140.0 |
| Cost of goods sold | 51.0 | 30.5 | 48.1 | 36.5 | 166.0 | 27.1 | 33.3 | 33.3 | 33.3 | 126.9 | 133.0 |
| Land/lot gross profit | 1.6 | 4.1 | 5.1 | 2.9 | 13.7 | 2.2 | 1.8 | 1.8 | 1.8 | 7.4 | 7.0 |
| Total housing gross profit | 1,031.8 | 1,156.7 | 1,119.9 | 1,107.5 | 4,415.8 | 809.5 | 919.7 | 1,086.3 | 1,131.0 | 3,946.6 | 4,225.2 |
| | | | | | | | | | | | |
| SG&A expenses | 393.3 | 390.5 | 400.7 | 389.5 | 1,573.9 | 380.3 | 386.1 | 389.6 | 396.2 | 1,552.2 | 1,642.4 |
| Operating income | 638.4 | 766.2 | 719.3 | 718.0 | 2,841.9 | 429.2 | 533.6 | 696.8 | 734.9 | 2,394.4 | 2,582.8 |
| Interest expense/(income) | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Other expense/(income) | (6.9) | 1.8 | (4.2) | 98.6 | 89.4 | (6.7) | (6.7) | (6.7) | (4.0) | (24.1) | (31.0) |
| Pretax income, housing | 645.3 | 764.4 | 723.4 | 619.4 | 2,752.5 | 435.9 | 540.3 | 703.5 | 738.9 | 2,418.6 | 2,613.8 |
| **FINANCIAL SERVICES & OTHER** | | | | | | | | | | | |
| Revenues | 90.8 | 101.2 | 103.3 | 93.4 | 388.7 | 71.7 | 89.7 | 101.8 | 104.7 | 368.0 | 389.1 |
| SG&A | 55.0 | 59.6 | 58.9 | 58.4 | 231.9 | 59.2 | 52.9 | 60.1 | 61.8 | 233.9 | 248.5 |
| Pretax income, financing | 35.9 | 41.5 | 44.4 | 35.0 | 156.8 | 12.6 | 36.8 | 41.7 | 42.9 | 134.1 | 140.6 |
| | | | | | | | | | | | |
| **COMBINED** | | | | | | | | | | | |
| Total operating revenues | 3,892.7 | 4,403.8 | 4,404.8 | 4,610.7 | 17,312.0 | 3,408.6 | 3,910.0 | 4,563.7 | 4,693.2 | 16,575.5 | 17,517.6 |
| Total pretax income | 681.1 | 805.9 | 767.8 | 654.4 | 2,909.3 | 448.5 | 577.1 | 745.2 | 781.8 | 2,552.7 | 2,754.4 |
| Non-operating income/(loss) | 0.0 | 1.3 | 0.0 | 0.8 | 2.1 | 0.9 | 0.0 | 0.0 | 0.0 | 0.9 | 0.0 |
| Income tax | 158.3 | 198.7 | 182.0 | 153.6 | 692.6 | 102.4 | 144.3 | 186.3 | 195.5 | 628.4 | 688.6 |
| Net income, continuing | 522.8 | 608.5 | 585.8 | 501.6 | 2,218.8 | 346.996 | 432.8 | 558.9 | 586.4 | 1,925.1 | 2,065.8 |
| Extraordinary items, net | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Net income, reported | 522.8 | 608.5 | 585.8 | 501.6 | 2,218.8 | 347.0 | 432.8 | 558.9 | 586.4 | 1,925.1 | 2,065.8 |
| | | | | | | | | | | | |
| **PER-SHARE DATA** | | | | | | | | | | | |
| EPS, reported | 2.57 | 3.03 | 2.96 | 2.56 | 11.12 | 1.79 | 2.27 | 2.97 | 3.15 | 10.15 | 11.50 |
| Book value/basic share | 60.88 | 63.11 | 65.26 | 66.89 | 66.89 | 67.46 | 68.57 | 70.16 | 71.69 | 71.69 | 78.18 |
| | | | | | | | | | | | |
| Avg. diluted shares | 203.7 | 200.7 | 198.1 | 195.8 | 199.6 | 193.4 | 190.9 | 188.4 | 185.9 | 189.7 | 179.7 |
| Avg. basic shares | 202.1 | 199.2 | 196.5 | 194.1 | 194.1 | 192.0 | 189.5 | 187.0 | 184.5 | 184.5 | 174.5 |

*Source: Citizens JMP Securities, LLC estimates, company filings*

## FIGURE 4. PulteGroup Balance Sheet

| **PulteGroup (PHM), FY ends Dec.** | | | | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|
| **BALANCE SHEET** | | | | | | | | | | | |
| **Assets** | **F1Q25** | **F2Q25** | **F3Q25** | **F4Q25** | **FY25** | **F1Q26** | **F2Q26E** | **F3Q26E** | **F4Q26E** | **FY26E** | **FY27E** |
| **Homebuiding** | | | | | | | | | | | |
| Cash & equivalents | 1,275.9 | 1,267.3 | 1,479.6 | 2,008.8 | 2,008.8 | 1,843.4 | 1,832.0 | 2,001.9 | 1,822.6 | 1,822.6 | 1,746.9 |
| Total inventories | 12,959.5 | 13,216.0 | 13,352.0 | 12,925.4 | 12,925.4 | 13,301.0 | 13,355.2 | 13,402.8 | 13,438.5 | 13,438.5 | 13,598.8 |
| Unfunded settlements | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| House & land inventory | 12,959.5 | 13,216.0 | 13,352.0 | 12,925.4 | 12,925.4 | 13,301.0 | 13,340.9 | 13,381.0 | 13,421.1 | 13,421.1 | 13,582.9 |
| Land held for sale | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 14.3 | 21.8 | 17.4 | 17.4 | 16.0 |
| Land, not owned, under option | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Mortgages for sale | 642.8 | 581.6 | 486.1 | 613.7 | 613.7 | 509.3 | 515.8 | 506.5 | 624.0 | 624.0 | 687.0 |
| Current assets | 14,878.2 | 15,064.9 | 15,317.6 | 15,547.9 | 15,547.9 | 15,653.7 | 15,703.0 | 15,911.2 | 15,885.1 | 15,885.1 | 16,032.8 |
| | | | | | | | | | | | |
| JV investments | 220.8 | 181.8 | 179.2 | 167.3 | 167.3 | 168.1 | 168.1 | 168.1 | 168.1 | 168.1 | 168.1 |
| Intangible assets, net | 112.9 | 110.6 | 108.3 | 66.6 | 66.6 | 65.2 | 65.2 | 65.2 | 65.2 | 65.2 | 65.2 |
| Other assets | 2,071.7 | 2,178.8 | 2,196.2 | 2,217.5 | 2,217.5 | 2,260.8 | 1,932.3 | 2,288.5 | 2,254.9 | 2,254.9 | 2,482.5 |
| Deferred income taxes | 53.0 | 51.7 | 49.7 | 49.2 | 49.2 | 48.2 | 48.2 | 48.2 | 48.2 | 48.2 | 48.2 |
| Long-term assets | 2,458.4 | 2,522.9 | 2,533.4 | 2,500.6 | 2,500.6 | 2,542.3 | 2,213.8 | 2,569.9 | 2,536.4 | 2,536.4 | 2,764.0 |
| Total assets | 17,336.5 | 17,587.8 | 17,851.0 | 18,048.4 | 18,048.4 | 18,196.0 | 17,916.8 | 18,481.1 | 18,421.5 | 18,421.5 | 18,796.8 |
| | | | | | | | | | | | |
| **Liabilities & Equity** | | | | | | | | | | | |
| **Homebuilding** | | | | | | | | | | | |
| A/P | 682.1 | 712.9 | 731.1 | 724.9 | 724.9 | 688.5 | 632.2 | 761.8 | 737.1 | 737.1 | 811.5 |
| Customer deposits | 541.5 | 520.5 | 470.7 | 387.8 | 387.8 | 466.6 | 461.7 | 490.5 | 394.4 | 394.4 | 434.2 |
| Acc'd and other liabilities | 1,297.5 | 1,198.0 | 1,305.3 | 1,338.3 | 1,338.3 | 1,354.1 | 1,102.6 | 1,392.3 | 1,358.5 | 1,358.5 | 1,487.7 |
| Current liabilities | 2,521.1 | 2,431.4 | 2,507.2 | 2,451.1 | 2,451.1 | 2,509.2 | 2,196.5 | 2,644.6 | 2,490.0 | 2,490.0 | 2,733.4 |
| | | | | | | | | | | | |
| Income taxes | 462.0 | 460.1 | 490.2 | 448.5 | 448.5 | 456.8 | 456.8 | 456.8 | 456.8 | 456.8 | 456.8 |
| Debt | 2,052.5 | 2,121.4 | 2,027.6 | 2,163.4 | 2,163.4 | 2,275.8 | 2,266.7 | 2,257.5 | 2,245.6 | 2,245.6 | 1,960.8 |
| L/T liabilities | 2,514.5 | 2,581.5 | 2,517.8 | 2,611.9 | 2,611.9 | 2,732.6 | 2,723.4 | 2,714.3 | 2,702.4 | 2,702.4 | 2,417.6 |
| Total liabilities | 5,035.6 | 5,012.9 | 5,024.9 | 5,063.0 | 5,063.0 | 5,241.8 | 4,919.9 | 5,358.9 | 5,192.5 | 5,192.5 | 5,151.0 |
| | | | | | | | | | | | |
| Shareholders' equity ($ mil.) | 12,301.0 | 12,574.9 | 12,826.0 | 12,985.4 | 12,985.4 | 12,954.2 | 12,996.9 | 13,122.2 | 13,229.0 | 13,229.0 | 13,645.8 |
| Tangible book value per share ($) | 60.32 | 62.56 | 64.71 | 66.54 | 66.54 | 67.12 | 68.23 | 69.81 | 71.33 | 71.33 | 77.81 |
| Total liabilities and equity | 17,336.5 | 17,587.8 | 17,851.0 | 18,048.4 | 18,048.4 | 18,196.0 | 17,916.8 | 18,481.1 | 18,421.5 | 18,421.5 | 18,796.8 |

*Source: Citizens JMP Securities, LLC estimates, company filings*

## FIGURE 5. Homebuilder Comp Sheet, Coverage Names In Bold

| Ticker | Closing price as of 04/22/26 ($) | Price target ($) | Rating | Trailing net debt/net cap, % | Mkt Cap, millions of $ | EPS FY26E ($) | PE FY26E (x) | EPS FY27E ($) | PE FY27E (x) | TBV FY26E ($) | P/TBV FY26E (x) | TBV FY27E ($) | P/TBV FY27E (x) |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| BZH | 22.96 | NR | NR | N/A | 677.5 | N/A | N/A | N/A | N/A | N/A | N/A | N/A | N/A |
| **CCS** | **63.82** | **92** | **MO** | **33.1** | **1,852.4** | **3.92** | **16.3** | **5.00** | **12.8** | **89.15** | **0.7** | **94.15** | **0.7** |
| **DFH** | **15.65** | **N/A** | **MP** | **46.1** | **1,436.8** | **1.38** | **11.3** | **1.53** | **10.3** | **13.04** | **1.2** | **14.71** | **1.1** |
| **DHI** | **161.18** | **N/A** | **MP** | **10.6** | **46,694.3** | **10.50** | **15.3** | **11.15** | **14.5** | **105.21** | **1.5** | **115.57** | **1.4** |
| **GRBK** | **71.68** | **N/A** | **MP** | **8.2** | **3,093.5** | **5.33** | **13.5** | **6.08** | **11.8** | **46.92** | **1.5** | **52.80** | **1.4** |
| **HOV** | **122.00** | **74** | **MU** | **41.4** | **724.5** | **(0.99)** | **(122.7)** | **(3.72)** | **(32.8)** | **66.63** | **1.8** | **59.88** | **2.0** |
| **KBH** | **55.58** | **77** | **MO** | **27.3** | **3,482.0** | **3.04** | **18.3** | **3.87** | **14.3** | **62.61** | **0.9** | **66.30** | **0.8** |
| **LEN** | **94.45** | **N/A** | **MP** | **8.2** | **23,262.8** | **6.44** | **14.7** | **7.33** | **12.9** | **81.75** | **1.2** | **90.44** | **1.0** |
| **LGIH** | **46.64** | **93** | **MO** | **43.2** | **1,078.9** | **2.41** | **19.4** | **2.77** | **16.8** | **92.27** | **0.5** | **95.05** | **0.5** |
| **MHO** | **133.64** | **165** | **MO** | **8.2** | **3,443.6** | **12.70** | **10.5** | **15.70** | **8.5** | **131.01** | **1.0** | **145.53** | **0.9** |
| **MTH** | **68.71** | **90** | **MO** | **16.9** | **4,583.1** | **3.98** | **17.2** | **4.28** | **16.0** | **78.77** | **0.9** | **82.85** | **0.8** |
| **PHM** | **127.56** | **145** | **MO** | **15.6** | **24,439.1** | **10.15** | **12.6** | **11.50** | **11.1** | **71.33** | **1.8** | **77.81** | **1.6** |
| **SDHC** | **14.54** | **N/A** | **MP** | **9.0** | **131.6** | **0.37** | **39.7** | **0.44** | **33.0** | **8.35** | **1.7** | **8.98** | **1.6** |
| **TMHC** | **65.00** | **95** | **MO** | **17.7** | **6,261.7** | **5.05** | **12.9** | **6.01** | **10.8** | **79.78** | **0.8** | **90.40** | **0.7** |
| **TOL** | **148.02** | **175** | **MO** | **15.3** | **14,018.5** | **12.83** | **11.5** | **14.00** | **10.6** | **102.64** | **1.4** | **123.25** | **1.2** |
| **TPH** | **46.86** | **N/A** | **MP** | **6.0** | **3,989.5** | **2.19** | **21.4** | **2.59** | **18.1** | **38.75** | **1.2** | **41.66** | **1.1** |
| **Averages** | | | | **20.5** | | | **16.8** | | **14.4** | | **1.2** | | **1.1** |

*Source: Citizens estimates, FactSet, Company filings*

## COMPANY DESCRIPTION

Per Pulte's website, "Since its founding over 70 years ago, PulteGroup has delivered over 800,000 homes and today ranks as the nation's 3rd largest homebuilding company with operations in 24 states and over 45 major markets. Through our portfolio of leading brands: Centex, Pulte Homes, Del Webb, DiVosta, John Wieland Homes and Neighborhoods, and American West, we are uniquely positioned to serve buyers at every stage of their lives."

## INVESTMENT RISKS

General economic risks include recession, job loss, or other negative macroeconomic events.

We think an upside risk to our outlook is any improvement in consumer confidence. We believe 2025 was the first year since the great financial crisis to have elevated consumer concerns about the economy and their personal financial situation.

Mortgage standards tighten above current levels. We believe the relatively tight standards for mortgage qualifications may be a demand headwind for PulteGroup and for the rest of the industry.

## Facts and Disclosures

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**The research analyst(s) who prepared this report does/do hereby certify that the views presented in this report are in accordance with my/our personal views on the securities and issuers discussed in this report. As mandated by SEC Regulation AC no part of my/our compensation was, is or will be directly or indirectly related to the specific views or recommendations expressed herein. This certification is made under the obligations set forth in SEC Regulation AC. Any other person or entity may not use it for any other purpose. This certification is made based on my/our analysis on the date of this report's publication. I/We assume no obligation to update this certification to reflect any facts, circumstances, or events that may subsequently come to my/our attention. Signed James McCanless III**

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### Citizens JMP Securities, LLC Investment Opinion Definitions:

Market Outperform (MO): Citizens JMP Securities, LLC expects the stock price to outperform the Russell 3000® Index over the next 12 months.

Market Perform (MP): Citizens JMP Securities, LLC expects the stock price to perform in line with the Russell 3000® Index over the next 12 months.

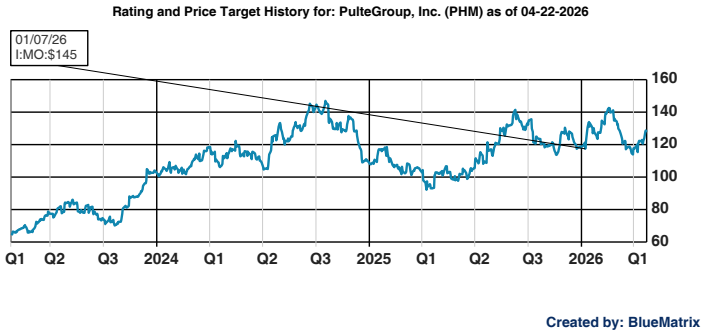
Market Underperform (MU): Citizens JMP Securities, LLC expects the stock price to underperform the Russell 3000® Index over the next 12 months.

### Research Ratings and Investment Banking Services: (as of April 23, 2026)

| Citizens Capital Markets & Advisory Ratings | Regulatory Equivalent | # Co's Under Coverage | *% of Total* | Regulatory Equivalent | # Co's Under Coverage | *% of Total* | # Co's Receiving IB Services in Past 12 Months | *% of Co's With This Rating* |
|---|---|---|---|---|---|---|---|---|
| MARKET OUTPERFORM | Buy | 333 | *68.94%* | Buy | 333 | *68.94%* | 68 | *20.42%* |
| MARKET PERFORM | Hold | 144 | *29.81%* | Hold | 144 | *29.81%* | 21 | *14.58%* |
| MARKET UNDERPERFORM | Sell | 4 | *0.83%* | Sell | 4 | *0.83%* | 0 | *0%* |
| COVERAGE IN TRANSITION | | 1 | *0.21%* | | 1 | *0.21%* | 0 | *0%* |
| RATING SUSPENDED | | 0 | *0.00%* | | 0 | *0.00%* | 0 | *0%* |
| TOTAL: | | 483 | *100%* | | 483 | *100%* | 89 | *18.43%* |

### Stock Price Chart of Rating and Target Price Changes:

Note: First annotation denotes initiation of coverage or 3 years, whichever is shorter. If no target price is listed, then the target price is N/A. In accordance with FINRA Rule 2241, the chart(s) below reflect(s) price range and any changes to the rating or price target as of the end of the most recent calendar quarter. The action reflected in this note is not annotated in the stock price chart. Source: Citizens JMP Securities, LLC.

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